SUBSTITUTE FOR

SENATE BILL NO. 861

A bill to make appropriations for the legislature, the executive, the department of the attorney general, the department of state, the department of treasury, the department of technology, management, and budget, the department of civil rights, and certain other state purposes for the fiscal years ending September 30, 2026 and September 30, 2027; to provide for the expenditure of the appropriations; to provide for the disposition of fees and other income received by the state agencies; and to declare the effect of this act.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

PART 1

LINE-ITEM APPROPRIATIONS

FOR FISCAL YEAR 2026-2027

Sec. 101. There is appropriated for the legislature, the executive, the department of the attorney general, the department of state, the department of treasury, the department of technology, management, and budget, the department of civil rights, and certain state purposes related to those branches and departments for the fiscal year ending September 30, 2027, from the following funds:

TOTAL GENERAL GOVERNMENT			
APPROPRIATION SUMMARY			
Full-time equated unclassified positions	44.0		
Full-time equated classified positions	7,772.2		
GROSS APPROPRIATION		**$**	**5,241,889,200**
Interdepartmental grant revenues:			
Total interdepartmental grants and intradepartmental transfers			1,251,385,600
ADJUSTED GROSS APPROPRIATION		**$**	**3,990,503,600**
Federal revenues:			
Total federal revenues			45,421,400
Special revenue funds:			
Total local revenues			19,298,900
Total private revenues			1,903,600
Total other state restricted revenues			2,788,797,800
State general fund/general purpose		**$**	**1,135,081,900**
Sec. 102. DEPARTMENT OF ATTORNEY GENERAL			
(1) APPROPRIATION SUMMARY			
Full-time equated unclassified positions	6.0		
Full-time equated classified positions	699.0		
GROSS APPROPRIATION		**$**	**139,581,300**
Interdepartmental grant revenues:			

Total interdepartmental grants and intradepartmental transfers			39,899,600
ADJUSTED GROSS APPROPRIATION		**$**	**99,681,700**
Federal revenues:			
Total federal revenues			10,710,500
Special revenue funds:			
Total local revenues			0
Total private revenues			961,400
Total other state restricted revenues			36,118,100
State general fund/general purpose		**$**	**51,891,700**
(2) ATTORNEY GENERAL OPERATIONS			
Full-time equated unclassified positions	6.0		
Full-time equated classified positions	699.0		
Attorney general		$	112,500
Unclassified salaries--FTEs	5.0		1,022,900
Alcohol and gambling enforcement division--FTEs	17.0		2,926,300
Asssistance with convictions and expungements--FTEs	30.0		4,734,600
Child elder family financial crimes division--FTEs	20.5		5,154,400
Child support enforcement division--FTEs	25.0		4,141,300
Children and youth services division--FTEs	28.0		5,392,700
Civil rights and elections--FTEs	12.0		2,485,100
Collections--FTEs	15.5		2,818,800
Corporate oversight division--FTEs	68.0		10,273,300
Corrections--FTEs	40.0		7,809,500
Criminal appellate division--FTEs	17.0		2,421,600
Criminal investigations--FTEs	46.0		3,888,700

Criminal trials--FTEs	37.0	10,824,500
Detective sergeants-Attorney General special investigators		1,300,000
Environment, natural resources, and agriculture division--FTEs	34.0	7,699,300
Executive office--FTEs	7.0	1,313,100
Finance division--FTEs	11.0	2,414,400
Fiscal management--FTEs	9.0	1,284,500
Health care fraud division--FTEs	35.0	7,147,900
Health education and family services--FTEs	36.0	5,881,900
Human resources--FTEs	7.0	1,135,500
Labor division--FTEs	34.0	6,159,000
Licensing and regulation division--FTEs	38.0	5,014,900
Office of communications--FTEs	9.0	1,193,200
Office of legislative affairs--FTEs	2.0	422,100
Operation survivor justice		1,000,000
Opinions review board--FTE	1.0	332,300
Public administration--FTEs	3.0	427,700
Public service division--FTEs	14.0	2,509,600
Revenue and tax--FTEs	27.0	5,690,100
Sexual assault law enforcement--FTEs	5.0	2,507,100
Solicitor general--FTEs	4.0	1,697,900
Special litigation--FTEs	5.0	2,126,100
State operations--FTEs	42.0	8,696,200
Transportation--FTEs	10.0	2,579,300
Victim rights/victim services--FTEs	10.0	1,368,600
GROSS APPROPRIATION	**$**	**133,906,900**

Appropriated from:

Interdepartmental grant revenues:	
IDG from MDOC	745,700
IDG from MDE	832,000
IDG from EGLE	2,468,400
IDG from MDHHS, health policy	332,100
IDG from MDHHS, human services	7,049,000
IDG from MDHHS, medical services administration	792,000
IDG from MDHHS, WIC	380,100
IDG from MDIFS, financial and insurance services	1,644,800
IDG from LEO, Michigan occupational safety and health administration	213,100
IDG from LEO, workforce development	102,300
IDG from MDLARA, cannabis regulatory agency	2,562,700
IDG from MDLARA, fireworks safety fund	92,300
IDG from MDLARA, health professions	3,187,600
IDG from MDLARA, licensing and regulation fees	803,700
IDG from MDLARA, remonumentation fees	118,600
IDG from MDLARA, securities fees	788,600
IDG from MDLARA, unlicensed builders	1,209,000
IDG from MDMVA	185,100
IDG from MDOS, children's protection registry	45,000
IDG from MDOT, comprehensive transportation fund	112,600
IDG from MDOT, state aeronautics fund	196,900
IDG from MDOT, state trunkline fund	2,269,800
IDG from MDSP	291,400
IDG from MDTMB	1,371,100

IDG from MDTMB, civil service commission	347,900
IDG from MDTMB, risk management revolving fund	1,424,900
IDG from MILEAP	1,024,500
IDG from Michigan state housing development authority	1,305,800
IDG from Michigan strategic fund	203,800
IDG from treasury	7,798,800
Federal revenues:	
DAG, state administrative match grant/food stamps	137,000
Federal funds	3,858,500
HHS, medical assistance, medigrant	425,900
HHS-OS, state Medicaid fraud control units	6,289,100
Special revenue funds:	
Unadjudicated criminal property seizures	961,400
Antitrust enforcement collections	869,600
Attorney general's operations fund	1,127,800
Attorney general support fund	8,112,200
Auto repair facilities fees	376,900
Franchise fees	434,900
Game and fish protection account	693,300
Human trafficking commission fund	170,000
Lawsuit settlement proceeds fund	8,225,100
Liquor purchase revolving fund	1,673,900
Michigan employment security act - administrative fund	2,550,700
Michigan merit award trust fund	550,800
Michigan opioid healing and recovery fund	203,100

Mobile home code fund		278,600
Prisoner reimbursement		804,300
Public utility assessments		2,255,900
Reinstatement fees		293,600
Retirement funds		1,184,600
Second injury fund		680,500
Self-insurers security fund		414,700
Silicosis and dust disease fund		119,800
State building authority revenue		135,100
State casino gaming fund		2,018,700
State lottery fund		397,800
Utility consumer representation fund		1,974,300
Waterways account		156,300
Worker's compensation administrative revolving fund		415,600
State general fund/general purpose	**$**	**46,217,300**
(3) INFORMATION TECHNOLOGY		
Information technology services and projects	$	1,724,400
GROSS APPROPRIATION	**$**	**1,724,400**
Appropriated from:		
State general fund/general purpose	**$**	**1,724,400**
(4) ONE-TIME APPROPRIATIONS		
Legal aid and technical assistance program		1,950,000
Utility rate case oversight		2,000,000
GROSS APPROPRIATION	**$**	**3,950,000**
Appropriated from:		
Interdepartmental grant revenues:		
State general fund/general purpose	**$**	**3,950,000**

Sec. 103. DEPARTMENT OF CIVIL RIGHTS			
(1) APPROPRIATION SUMMARY			
Full-time equated unclassified positions	6.0		
Full-time equated classified positions	168.0		
GROSS APPROPRIATION		**$**	**29,444,300**
Interdepartmental grant revenues:			
Total interdepartmental grants and intradepartmental transfers			0
ADJUSTED GROSS APPROPRIATION		**$**	**29,444,300**
Federal revenues:			
Total federal revenues			3,435,200
Special revenue funds:			
Total local revenues			0
Total private revenues			18,700
Total other state restricted revenues			58,500
State general fund/general purpose		**$**	**25,931,900**
(2) CIVIL RIGHTS OPERATIONS			
Full-time equated unclassified positions	6.0		
Full-time equated classified positions	168.0		
Unclassified salaries--FTEs	6.0	$	895,900
Complaint investigation and enforcement--FTEs	112.0		18,804,800
Disability rights and compliance--FTEs	11.0		1,729,000
Division on deaf, deaf/blind, and hard of hearing--FTEs	6.0		773,100
Executive office--FTEs	25.0		3,330,300
Public affairs--FTEs	14.0		2,354,000
GROSS APPROPRIATION		**$**	**27,887,100**
Appropriated from:			

Federal revenues:			
EEOC, state and local antidiscrimination agency contracts			1,768,500
HUD, grant			1,651,700
Special revenue funds:			
Private revenues			18,700
State restricted indirect funds			58,500
State general fund/general purpose		**$**	**24,389,700**
(3) INFORMATION TECHNOLOGY			
Information technology services and projects		$	1,557,200
GROSS APPROPRIATION		**$**	**1,557,200**
Appropriated from:			
Federal revenues:			
EEOC, state and local antidiscrimination agency contracts			15,000
State general fund/general purpose		**$**	**1,542,200**
Sec. 104. EXECUTIVE OFFICE			
(1) APPROPRIATION SUMMARY			
Full-time equated unclassified positions	10.0		
Full-time equated classified positions	86.2		
GROSS APPROPRIATION		**$**	**9,609,200**
Interdepartmental grant revenues:			
Total interdepartmental grants and intradepartmental transfers			0
ADJUSTED GROSS APPROPRIATION		**$**	**9,609,200**
Federal revenues:			
Total federal revenues			0
Special revenue funds:			

Total local revenues			0
Total private revenues			0
Total other state restricted revenues			0
State general fund/general purpose		**$**	**9,609,200**
(2) EXECUTIVE OFFICE OPERATIONS			
Full-time equated unclassified positions	10.0		
Full-time equated classified positions	86.2		
Unclassified salaries--FTEs	8.0	$	1,670,500
Governor			159,300
Lieutenant governor			111,600
Executive office--FTEs	86.2		7,667,800
GROSS APPROPRIATION		**$**	**9,609,200**
Appropriated from:			
State general fund/general purpose		**$**	**9,609,200**
Sec. 105. LEGISLATURE			
(1) APPROPRIATION SUMMARY			
GROSS APPROPRIATION		**$**	**235,324,800**
Interdepartmental grant revenues:			
Total interdepartmental grants and intradepartmental transfers			7,668,300
ADJUSTED GROSS APPROPRIATION		**$**	**227,656,500**
Federal revenues:			
Total federal revenues			0
Special revenue funds:			
Total local revenues			0
Total private revenues			474,700
Total other state restricted revenues			8,092,300
State general fund/general purpose		**$**	**219,089,500**

(2) LEGISLATURE		
Senate	$	51,298,900
Senate automated data processing		3,242,100
Senate fiscal agency		5,054,500
House of representatives		75,337,200
House automated data processing		3,242,100
House fiscal agency		5,054,500
GROSS APPROPRIATION	**$**	**143,229,300**
Appropriated from:		
State general fund/general purpose	**$**	**143,229,300**
(3) LEGISLATIVE COUNCIL		
Legislative corrections ombudsman	$	1,657,900
Legislative council		17,221,200
Legislative service bureau automated data processing		3,880,800
Michigan veterans facility ombudsman		385,300
National association dues		735,700
Office of tribal legislative liaison		522,700
Sentencing commission		100
Worker's compensation		185,200
GROSS APPROPRIATION	**$**	**24,588,900**
Appropriated from:		
State general fund/general purpose	**$**	**24,588,900**
(4) LEGISLATIVE RETIREMENT SYSTEM		
Actuarially determined contribution	$	100
General nonretirement expenses		6,521,000
GROSS APPROPRIATION	**$**	**6,521,100**
Appropriated from:		

Special revenue funds:		
Court fees		1,483,300
State general fund/general purpose	**$**	**5,037,800**
(5) PROPERTY MANAGEMENT		
Binsfeld Office Building and other properties	$	10,313,400
Cora Anderson Building		7,135,200
GROSS APPROPRIATION	**$**	**17,448,600**
Appropriated from:		
State general fund/general purpose	**$**	**17,448,600**
(6) STATE CAPITOL HISTORIC SITE		
Bond/lease obligations	$	100
General operations		6,858,600
Restoration, renewal, and maintenance		4,020,500
GROSS APPROPRIATION	**$**	**10,879,200**
Appropriated from:		
Special revenue funds:		
Private - gifts and bequests		474,700
Capitol historic site fund		4,020,500
State general fund/general purpose	**$**	**6,384,000**
(7) OFFICE OF THE AUDITOR GENERAL		
Unclassified positions--FTEs	$	453,200
Field operations		32,204,500
GROSS APPROPRIATION	**$**	**32,657,700**
Appropriated from:		
Interdepartmental grant revenues:		
IDG, commercial mobile radio system emergency telephone fund		47,000
IDG, contract audit administration fees		86,000

IDG, deferred compensation funds	118,500
IDG, emp ben div postemployment life insurance benefit	24,100
IDG from LEO, self-insurers security fund	101,500
IDG from MDHHS, human services	39,900
IDG from MDLARA, liquor purchase revolving fund	137,700
IDG from MDMVA, Michigan veterans facility authority	109,700
IDG from MDOT, comprehensive transportation fund	49,200
IDG from MDOT, Michigan transportation fund	399,800
IDG from MDOT, state aeronautics fund	38,700
IDG from MDOT, state trunkline fund	928,600
IDG, legislative retirement system	32,900
IDG, Michigan economic development corporation	159,700
IDG, Michigan education trust fund	76,700
IDG, Michigan finance authority	323,800
IDG, Michigan justice training commission fund	61,800
IDG, Michigan strategic fund	261,400
IDG, office of retirement services	938,200
IDG, other restricted funding sources	27,600
IDG, Pension schedules of employer allocations funds	127,700
IDG, single audit act	3,489,200
IDG, state sponsored group insurance fund	88,600
Special revenue funds:	
21st century jobs trust fund	122,200
Brownfield development fund	35,700

Game and fish protection account			39,800
MDTMB, civil service commission			225,300
Michigan state housing development authority fees			143,900
Michigan veterans' trust fund			2,100
Michigan veterans' trust fund income and assessments			23,700
Motor transport revolving fund			9,300
Office services revolving fund			12,900
State disbursement unit, office of child support			72,600
State services fee fund			1,886,700
Waterways account			14,300
State general fund/general purpose		**$**	**22,400,900**

Sec. 106. DEPARTMENT OF STATE

(1) APPROPRIATION SUMMARY			
Full-time equated unclassified positions	6.0		
Full-time equated classified positions	1,601.0		
GROSS APPROPRIATION		**$**	**299,487,300**
Interdepartmental grant revenues:			
Total interdepartmental grants and intradepartmental transfers			20,000,000
ADJUSTED GROSS APPROPRIATION		**$**	**279,487,300**
Federal revenues:			
Total federal revenues			1,460,000
Special revenue funds:			
Total local revenues			0
Total private revenues			50,100

Total other state restricted revenues			266,798,000
State general fund/general purpose		**$**	**11,179,200**
(2) DEPARTMENTAL ADMINISTRATION AND SUPPORT			
Full-time equated unclassified positions	6.0		
Full-time equated classified positions	126.0		
Secretary of state		$	112,500
Unclassified salaries--FTEs	5.0		853,100
Executive direction--FTEs	28.0		5,246,600
Operations--FTEs	98.0		27,404,800
Property management			11,668,900
Worker's compensation			125,400
GROSS APPROPRIATION		**$**	**45,411,300**
Appropriated from:			
Special revenue funds:			
Abandoned vehicle fees			239,800
Auto repair facilities fees			125,800
Children's protection registry fund			274,400
Driver fees			2,593,300
Enhanced driver license and enhanced official state personal identification card fund			2,175,700
Personal identification card fees			101,900
Scrap tire fund			78,600
Transportation administration collection fund			38,537,400
State general fund/general purpose		**$**	**1,284,400**
(3) LEGAL SERVICES			
Full-time equated classified positions	179.0		
Operations--FTEs	179.0	$	26,008,500
GROSS APPROPRIATION		**$**	**26,008,500**

Appropriated from:			
Special revenue funds:			
Auto repair facilities fees			3,305,800
Driver education provider and instructor fund			150,000
Driver fees			1,658,500
Enhanced driver license and enhanced official state personal identification card fund			2,957,700
Reinstatement fees - operator licenses			598,500
Transportation administration collection fund			16,374,600
Vehicle theft prevention fees			757,600
State general fund/general purpose		**$**	**205,800**
(4) CUSTOMER DELIVERY SERVICES			
Full-time equated classified positions	1,216.0		
Branch operations--FTEs	888.0	$	102,019,600
Central operations--FTEs	326.0		54,862,100
Digital ID			100,000
Motorcycle safety education administration--FTEs	2.0		657,600
Motorcycle safety education grants			2,100,000
Organ donor program			129,100
GROSS APPROPRIATION		**$**	**159,868,400**
Appropriated from:			
Interdepartmental grant revenues:			
IDG from MDOT, Michigan transportation fund			20,000,000
Federal revenues:			
DOT			860,000
OHSP			600,000
Special revenue funds:			

Private funds		100
Thomas Daley gift of life fund		50,000
Abandoned vehicle fees		450,900
Auto repair facilities fees		763,700
Child support clearance fees		100,000
Driver fees		22,881,500
Driver improvement course fund		800,000
Enhanced driver license and enhanced official state personal identification card fund		14,671,600
Expedient service fees		3,014,100
Marine safety fund		1,596,300
Michigan state police auto theft fund		123,000
Mobile home commission fees		512,800
Motorcycle safety and education awareness fund		350,000
Motorcycle safety fund		2,107,600
Off-road vehicle title fees		170,700
Parking ticket court fines		518,400
Personal identification card fees		2,399,500
Recreation passport fee revenue		1,000,000
Reinstatement fees - operator licenses		1,028,200
Snowmobile registration fee revenue		390,000
Transportation administration collection fund		83,606,600
Vehicle theft prevention fees		786,000
State general fund/general purpose		**$ 1,087,400**
(5) ELECTION REGULATION		
Full-time equated classified positions	80.0	
County clerk education and training fund		$ 100,000
Election administration and services--FTEs	80.0	28,820,800

Fees to local units		109,800
GROSS APPROPRIATION	**$**	**29,030,600**
Appropriated from:		
Special revenue funds:		
Election administration support fund		20,255,500
Notary education and training fund		100,000
Notary fee fund		200,000
State general fund/general purpose	**$**	**8,475,100**
(6) INFORMATION TECHNOLOGY		
Information technology services and projects	$	39,168,500
GROSS APPROPRIATION	**$**	**39,168,500**
Appropriated from:		
Special revenue funds:		
Administrative order processing fee		11,800
Auto repair facilities fees		129,800
Driver fees		789,600
Enhanced driver license and enhanced official state personal identification card fund		2,066,300
Expedient service fees		803,300
Personal identification card fees		174,000
Transportation administration collection fund		34,885,500
Vehicle theft prevention fees		181,700
State general fund/general purpose	**$**	**126,500**

Sec. 107. DEPARTMENT OF TECHNOLOGY, MANAGEMENT, AND BUDGET

(1) APPROPRIATION SUMMARY		
Full-time equated unclassified positions	6.0	
Full-time equated classified positions	3,269.5	

GROSS APPROPRIATION		**$ 1,785,374,200**
Interdepartmental grant revenues:		
Total interdepartmental grants and intradepartmental transfers		1,171,532,000
ADJUSTED GROSS APPROPRIATION		**$ 613,842,200**
Federal revenues:		
Total federal revenues		4,493,300
Special revenue funds:		
Total local revenues		3,094,600
Total private revenues		354,400
Total other state restricted revenues		149,227,200
State general fund/general purpose		**$ 456,672,700**
(2) DEPARTMENTAL ADMINISTRATION AND SUPPORT		
Full-time equated unclassified positions	6.0	
Full-time equated classified positions	930.0	
Unclassified salaries--FTEs	6.0	$ 1,168,600
Administrative services--FTEs	155.0	24,811,800
Budget and financial management--FTEs	199.0	14,441,500
Building operation services--FTEs	275.0	117,038,000
Business support services--FTEs	108.0	18,053,600
Design and construction services--FTEs	54.0	10,011,600
Executive operations--FTEs	33.5	5,760,000
Michigan center for data and analytics--FTEs	42.0	8,970,700
Motor vehicle fleet--FTEs	39.0	107,598,800
Office of the state employer--FTEs	10.0	1,045,200
Property management		9,007,500
State archives--FTEs	14.5	2,339,800

Statewide integrated government management application		12,032,100
GROSS APPROPRIATION	**$**	**332,279,200**
Appropriated from:		
Interdepartmental grant revenues:		
IDG from accounting service centers user charges		6,937,300
IDG from building occupancy and parking charges		119,583,000
IDG from MDHHS, human services		759,100
IDG from MDLARA		100,000
IDG from motor transport fund		107,598,800
IDG from technology user fees		11,753,700
IDG from user fees		10,101,800
Federal revenues:		
Federal funds		4,493,200
Special revenue funds:		
Local funds		35,000
Local - MPSCS subscriber and maintenance fees		22,800
Private funds		354,300
Health management funds		443,200
HR-1 costs fund		1,950,000
Other agency charges		1,329,600
SIGMA user fees		2,156,100
Special revenue, internal service, and pension trust funds		25,785,900
State restricted indirect funds		3,684,300
State general fund/general purpose	**$**	**35,191,100**

(3) TECHNOLOGY SERVICES

Full-time equated classified positions	1,670.5		
Enterprise user experience--FTEs	14.0	$	4,292,600
Homeland security initiative/cyber security--FTEs	58.0		29,136,500
Information technology services--FTEs	1,446.5		908,865,400
Michigan public safety communications system--FTEs	152.0		51,907,400
GROSS APPROPRIATION		**$**	**994,201,900**
Appropriated from:			
Interdepartmental grant revenues:			
IDG from technology user fees			908,865,400
Special revenue funds:			
Local - MPSCS subscriber and maintenance fees			3,036,700
State general fund/general purpose		**$**	**82,299,800**
(4) STATEWIDE APPROPRIATIONS			
Professional development fund - AFSCME		$	50,000
Professional development fund - MPE, SEIU, scientific and engineering unit			100,000
Professional development fund - MPE, SEIU, technical unit			50,000
Professional development fund - NEREs			200,000
Professional development fund - UAW			700,000
GROSS APPROPRIATION		**$**	**1,100,000**
Appropriated from:			
Interdepartmental grant revenues:			
IDG from employer contributions			1,100,000
State general fund/general purpose		**$**	**0**
(5) SPECIAL PROGRAMS			

Full-time equated classified positions	199.0		
Capital city services		$	1,000,000
Make it in Michigan			400
Office of the child advocate--FTEs	22.0		4,073,100
Property management executive/legislative			1,560,800
Retirement services--FTEs	177.0		30,700,700
GROSS APPROPRIATION		**$**	**37,335,000**
Appropriated from:			
Federal revenues:			
Federal funds			100
Special revenue funds:			
Local funds			100
Private funds			100
Deferred compensation			5,347,200
Make it in Michigan competitiveness fund			100
Pension trust funds			25,260,500
State general fund/general purpose		**$**	**6,726,900**
(6) STATE BUILDING AUTHORITY RENT			
State building authority rent - community colleges		$	40,398,900
State building authority rent - state agencies			82,133,900
State building authority rent - universities			153,218,900
GROSS APPROPRIATION		**$**	**275,751,700**
Appropriated from:			
State general fund/general purpose		**$**	**275,751,700**
(7) CIVIL SERVICE COMMISSION			
Full-time equated classified positions	470.0		
Agency services--FTEs	113.0	$	18,528,000

Employee benefits--FTEs	29.0	6,747,500
Executive direction--FTEs	35.0	10,022,200
Human resources operations--FTEs	293.0	40,345,800
Information technology services and projects		12,222,700
GROSS APPROPRIATION	**$**	**87,866,200**
Appropriated from:		
Special revenue funds:		
State restricted funds 1%		35,077,800
State restricted indirect funds		14,482,600
State sponsored group insurance		11,556,200
State general fund/general purpose	**$**	**26,749,600**
(8) CAPITAL OUTLAY		
Major special maintenance, remodeling, and addition for state agencies		3,800,000
GROSS APPROPRIATION	**$**	**3,800,000**
Appropriated from:		
Interdepartmental grant revenues:		
IDG from building occupancy charges		3,800,000
State general fund/general purpose	**$**	**0**
(9) INFORMATION TECHNOLOGY		
Information technology services and projects	$	53,040,200
GROSS APPROPRIATION	**$**	**53,040,200**
Appropriated from:		
Interdepartmental grant revenues:		
IDG from building occupancy and parking charges		723,200
IDG from user fees		209,700
Special revenue funds:		
Deferred compensation		2,600

Pension trust funds			15,323,000
SIGMA user fees			2,037,700
Special revenue, internal service, and pension trust funds			2,706,500
State restricted indirect funds			2,083,900
State general fund/general purpose		**$**	**29,953,600**
Sec. 108. DEPARTMENT OF TREASURY			
(1) APPROPRIATION SUMMARY			
Full-time equated unclassified positions	10.0		
Full-time equated classified positions	1,948.5		
GROSS APPROPRIATION		**$**	**2,743,068,100**
Interdepartmental grant revenues:			
Total interdepartmental grants and intradepartmental transfers			12,285,700
ADJUSTED GROSS APPROPRIATIONS		**$**	**2,730,782,400**
Federal revenues:			
Total federal revenues			25,322,400
Special revenue funds:			
Total local revenues			16,204,300
Total private revenues			44,300
Total other state restricted revenues			2,328,503,700
State general fund/general purpose		**$**	**360,707,700**
(2) DEPARTMENTAL ADMINISTRATION AND SUPPORT			
Full-time equated unclassified positions	10.0		
Full-time equated classified positions	460.5		
Unclassified salaries--FTEs	10.0	$	1,350,400
Bureau of accounting and financial services--FTEs	75.0		10,218,700

Bureau of operational excellence--FTEs	27.0	4,437,300
Collections services bureau--FTEs	189.0	29,595,500
Enterprise services--FTEs	77.0	10,020,500
Executive direction and operations--FTEs	33.5	4,648,200
Office of security and data risk management--FTEs	27.0	4,114,400
Property management		6,307,100
Unclaimed property--FTEs	32.0	5,824,000
Worker's compensation		19,100
GROSS APPROPRIATION	**$**	**76,535,200**
Appropriated from:		
Interdepartmental grant revenues:		
IDG, data/collection services fees		339,100
IDG, accounting service center user charges		424,900
IDG, MDHHS, title IV-D		846,500
IDG, levy/warrant cost assessment fees		3,774,400
IDG, state agency collection fees		2,574,100
Federal revenues:		
DED-OPSE, federal lenders allowance		518,800
DED-OPSE, higher education act of 1995 insured loans		555,600
Special revenue funds:		
Delinquent tax collection revenue		41,975,500
Escheats revenue		5,824,000
Garnishment fees		2,915,500
Justice system fund		458,800
Marihuana regulation fund		1,314,300
Marihuana regulatory fund		197,300

MFA, bond and loan program revenue			690,700
State lottery fund			337,200
State restricted indirect funds			288,900
State services fee fund			384,500
Treasury fees			47,200
State general fund/general purpose		**$**	**12,927,400**
(3) LOCAL GOVERNMENT PROGRAMS			
Full-time equated classified positions	102.0		
Flint settlement payment		$	35,000,000
Local finance--FTEs	18.0		2,633,600
Michigan infrastructure council--FTEs	3.0		1,539,000
Property tax assessor training--FTE	1.0		802,900
Supervision of the general property tax law--FTEs	80.0		17,043,800
GROSS APPROPRIATION		**$**	**57,019,300**
Appropriated from:			
IDG from MDOT, Michigan transportation fund			256,600
Special revenue funds:			
Local - assessor training fees			802,900
Local - audit charges			631,600
Local - equalization study chargeback			40,000
Local - revenue from local government			100,000
Delinquent tax collection revenue			1,699,800
Land reutilization fund			2,075,500
Municipal finance fees			608,100
State general fund/general purpose		**$**	**50,804,800**
(4) TAX PROGRAMS			
Full-time equated classified positions	735.0		

Bottle act implementation		$ 250,000
Home heating assistance		3,139,700
Insurance provider assessment program--FTEs	8.0	2,253,900
Living donor tax credit		750,000
Office of revenue and tax analysis--FTEs	25.0	4,433,600
Tax administration services--FTEs	351.0	45,689,800
Tax and economic policy--FTEs	74.0	13,851,000
Tax compliance--FTEs	266.0	41,424,200
Tobacco tax enforcement--FTEs	11.0	1,656,600
GROSS APPROPRIATION		**$ 113,448,800**
Appropriated from:		
Interdepartmental grant revenues:		
IDG from MDOT, Michigan transportation fund		2,947,900
IDG from MDOT, state aeronautics fund		72,200
Federal revenues:		
HHS-SSA, low-income energy assistance		3,139,700
Special revenue funds:		
Bottle deposit fund		250,000
Brownfield redevelopment fund		214,200
Comprehensive road funding fund		500,000
Delinquent tax collection revenue		77,925,200
Insurance provider fund		2,253,900
Marihuana regulation fund		2,704,300
Marihuana regulatory fund		119,300
Michigan state waterways fund		107,100
Qualified heavy equipment rental personal property exemption reimbursement fund		425,500
Tobacco tax revenue		4,301,700

State general fund/general purpose		**$**	**18,487,800**
(5) FINANCIAL PROGRAMS			
Full-time equated classified positions	134.0		
Investments--FTEs	81.0	$	23,031,900
Savings, access, and financial empowerment--FTEs	34.0		20,518,100
State and authority finance--FTEs	19.0		4,816,100
GROSS APPROPRIATION		**$**	**48,366,100**
Appropriated from:			
Interdepartmental grant revenues:			
IDG, fiscal agent service fees			215,600
Federal revenues:			
DED-OPSE, federal lenders allowance			3,451,200
DED-OPSE, higher education act of 1995 insured loans			17,066,900
Special revenue funds:			
Defined contribution administrative fee revenue			300,000
Michigan finance authority bond and loan program revenue			2,862,300
Retirement funds			17,832,200
School bond fees			954,100
Treasury fees			5,131,000
State general fund/general purpose		**$**	**552,800**
(6) DEBT SERVICE			
Clean Michigan initiative		$	7,098,000
Great Lakes water quality bond			89,761,000
Quality of life bond			620,000
GROSS APPROPRIATION		**$**	**97,479,000**

Appropriated from:			
State general fund/general purpose		**$**	**97,479,000**
(7) GRANTS			
Convention facility development distribution		$	128,730,700
Election administrative support fund			20,255,500
Emergency 911 payments			49,147,300
Health and safety fund grants			1,220,900
Qualified heavy equipment rental personal property exemption reimbursement distribution			27,000,000
Recreational marihuana grants			94,300,000
Senior citizen cooperative housing tax exemption program			12,525,400
GROSS APPROPRIATION		**$**	**333,179,800**
Appropriated from:			
Special revenue funds:			
Convention facility development fund			128,730,700
Emergency 911 fund			49,147,300
Health and safety fund			1,220,900
Marihuana regulation fund			94,300,000
Qualified heavy equipment rental personal property exemption reimbursement fund			27,000,000
State general fund/general purpose		**$**	**32,780,900**
(8) BUREAU OF STATE LOTTERY			
Full-time equated classified positions	210.0		
Lottery information technology services and projects		$	3,886,200
Lottery operations--FTEs	210.0		38,734,300
GROSS APPROPRIATION		**$**	**42,620,500**

Appropriated from:			
Special revenue funds:			
State lottery fund			42,620,500
State general fund/general purpose		**$**	**0**
(9) MICHIGAN GAMING CONTROL BOARD			
Full-time equated classified positions	227.0		
Casino gaming control operations--FTEs	201.0	$	44,067,300
Gaming information technology services and projects			6,015,900
Horse racing--FTEs	6.0		2,169,700
Michigan gaming control board			113,500
Millionaire party regulation--FTEs	20.0		3,302,100
GROSS APPROPRIATION		**$**	**55,668,500**
Appropriated from:			
Special revenue funds:			
Casino gambling agreements			1,035,800
Equine development fund			2,290,500
Fantasy contest fund			1,101,100
Internet gaming fund			17,529,200
Internet sports betting fund			3,130,500
State services fee fund			30,581,400
State general fund/general purpose		**$**	**0**
(10) PAYMENTS IN LIEU OF TAXES			
Commercial forest reserve		$	3,603,900
Purchased lands			14,201,700
Swamp and tax reverted lands			23,977,800
GROSS APPROPRIATION		**$**	**41,783,400**
Appropriated from:			

Special revenue funds:			
Private funds			44,300
Game and fish protection account			4,812,400
Michigan natural resources trust fund			3,618,700
Michigan state waterways fund			417,700
State general fund/general purpose		**$**	**32,890,300**
(11) REVENUE SHARING			
City, village, and township revenue sharing		$	333,547,300
Constitutional state general revenue sharing grants			1,045,337,700
County revenue sharing			291,111,400
Financially distressed cities, villages, or townships			2,500,000
Public safety revenue sharing grants			50,000,000
GROSS APPROPRIATION		**$**	**1,722,496,400**
Appropriated from:			
Special revenue funds:			
Revenue sharing trust fund			624,658,700
Sales tax			1,097,837,700
State general fund/general purpose		**$**	**0**
(12) STATE BUILDING AUTHORITY			
Full-time equated classified positions	4.0		
State building authority--FTEs	4.0	$	1,034,800
GROSS APPROPRIATION		**$**	**1,034,800**
Appropriated from:			
Special revenue funds:			
State building authority revenue			1,034,800
State general fund/general purpose		**$**	**0**

(13) CITY INCOME TAX ADMINISTRATION PROGRAM			
Full-time equated classified positions	76.0		
City income tax administration program--FTEs	76.0	$	12,214,800
GROSS APPROPRIATION		**$**	**12,214,800**
Appropriated from:			
Special revenue funds:			
Local - city income tax fund			12,214,800
State general fund/general purpose		**$**	**0**
(14) INFORMATION TECHNOLOGY			
Treasury operations information technology services and projects		$	47,170,600
GROSS APPROPRIATION		**$**	**47,170,600**
Appropriated from:			
Interdepartmental grant revenues:			
IDG from MDOT, Michigan transportation fund			834,400
Federal revenues:			
DED-OPSE, federal lenders allowance			590,200
Special revenue funds:			
Local - city income tax fund			2,274,500
Delinquent tax collection revenue			18,495,600
Marihuana regulation fund			778,200
Retirement funds			829,700
Tobacco tax revenue			134,200
State general fund/general purpose		**$**	**23,233,800**
(15) ONE-TIME APPROPRIATIONS			
Election equipment reserve fund		$	43,164,000
Gaming control information technology services and projects			2,500,000

Local prosecutor support grants		20,047,000
Local prosecutor support adjustment grants		5,339,900
Municipal infrastructure grant program		8,000,000
Public safety academy assistance grant program		5,000,000
Wrongful imprisonment compensation fund		10,000,000
GROSS APPROPRIATION	**$**	**94,050,900**
Appropriated from:		
Special revenue funds:		
Internet gaming fund		2,125,000
Internet sports betting fund		125,000
State services fee fund		250,000
State general fund/general purpose	**$**	**91,550,900**

PART 1A

LINE-ITEM APPROPRIATIONS

FOR FISCAL YEAR 2025-2026

Sec. 151. There is appropriated for the executive and legislature to supplement appropriations for the fiscal year ending September 30, 2026, from the following funds:

Sec. 152. EXECUTIVE OFFICE		
(1) APPROPRIATION SUMMARY		
GROSS APPROPRIATION	**$**	**2,000,000**
Interdepartmental grant revenues:		
Total interdepartmental grants and intradepartmental transfers		0
ADJUSTED GROSS APPROPRIATION	**$**	**2,000,000**
Federal revenues:		
Total federal revenues		0

Special revenue funds:		
Total local revenues		0
Total private revenues		0
Total other state restricted revenues		0
State general fund/general purpose	**$**	**2,000,000**
(2) EXECUTIVE OFFICE OPERATIONS		
Executive office		2,000,000
GROSS APPROPRIATION	**$**	**2,000,000**
Appropriated from:		
State general fund/general purpose	**$**	**2,000,000**
Sec. 153. LEGISLATURE		
(1) APPROPRIATION SUMMARY		
GROSS APPROPRIATION	**$**	**(2,000,000)**
Interdepartmental grant revenues:		
Total interdepartmental grants and intradepartmental transfers		0
ADJUSTED GROSS APPROPRIATION	**$**	**(2,000,000)**
Federal revenues:		
Total federal revenues		0
Special revenue funds:		
Total local revenues		0
Total private revenues		0
Total other state restricted revenues		0
State general fund/general purpose	**$**	**(2,000,000)**
(2) LEGISLATURE		
Senate	$	(2,000,000)
House of representatives		(2,000,000)
Senate	$	1,000,000

House of representatives		1,000,000
GROSS APPROPRIATION	**$**	**(2,000,000)**
Appropriated from:		
State general fund/general purpose	**$**	**(2,000,000)**

PART 2

PROVISIONS CONCERNING APPROPRIATIONS

FOR FISCAL YEAR 2026-2027

GENERAL SECTIONS

Sec. 201. (1) In accordance with section 30 of article IX of the state constitution of 1963 for the fiscal year ending September 30, 2027, total state spending under part 1 from state sources is $3,923,879,700.00 and state spending under part 1 from state sources to be paid to local units of government is $2,212,171,400.00. The following itemized statement identifies appropriations from which spending to local units of government will occur:

DEPARTMENT OF STATE		
Election administration and services	$	10,000,000
Fees to local units		500
Motorcycle safety education grants		1,415,900
Subtotal	$	11,416,400
DEPARTMENT OF TECHNOLOGY, MANAGEMENT, AND BUDGET		
Capital city services	$	1,000,000
Subtotal	$	1,000,000
DEPARTMENT OF TREASURY		
Airport parking distribution pursuant to section 909	$	46,000,000

City, village, and township revenue sharing		333,547,300
Commercial forest reserve		3,603,900
Constitutional state general revenue sharing grants		1,045,337,700
Convention facility development fund distribution		128,730,700
County revenue sharing		291,111,400
Election equipment reserve fund		43,164,000
Emergency 9-1-1 payments		49,147,300
Financially distressed cities, villages, or townships		2,500,000
Health and safety fund grants		1,220,900
Local prosecutor support grants		20,047,000
Local prosecutor support adjustment grants		5,339,900
Municipal infrastructure grant program		8,000,000
Public safety revenue sharing grants		50,000,000
Purchased lands		14,201,700
Qualified heavy equipment rental personal property exemption reimbursement		27,000,000
Recreational marihuana grants		94,300,000
Senior citizen cooperative housing tax exemption		12,525,400
Swamp and tax reverted lands		23,977,800
Subtotal	$	2,199,755,000
TOTAL	**$**	**2,212,171,400**

(2) In accordance with section 30 of article IX of the state constitution of 1963, in the appropriations acts for the fiscal year ending September 30, 2027, total state spending from state sources is estimated at $50,204,395,300.00 and total state spending from state sources to be paid to local units of government is

estimated at $27,222,946,200.00. The proportion of total state spending from state sources to be paid to local units is estimated at 54.22%.

(3) If payments to local units of government and state spending from state sources for the fiscal year ending September 30, 2027 are different than the amounts estimated in subsection (2), the state budget director shall report the payments to local units of government and state spending from state sources that were made for the fiscal year ending September 30, 2027 to the standard report recipients and to the senate and house of representatives standing committees on appropriations not later than 30 days after the final book-closing for the fiscal year ending September 30, 2027.

Sec. 202. The appropriations under this part and part 1 are subject to the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594.

Sec. 203. As used in this part and part 1:

(a) "AFSCME" means American Federation of State, County, and Municipal Employees.

(b) "COBRA" means the consolidated omnibus budget reconciliation act of 1985, Public Law 99-272.

(c) "DAG" means the United States Department of Agriculture.

(d) "DED" means the United States Department of Education.

(e) "DED-OPSE" means the DED Office of Postsecondary Education.

(f) "EEOC" means the United States Equal Employment Opportunity Commission.

(g) "FTE" means full-time equated.

(h) "Geographically disadvantaged business enterprise" means a geographically-disadvantaged business enterprise as that term is defined by Executive Directive No. 2023-1.

(i) "HHS" means the United States Department of Health and Human Services.

(j) "HHS-OS" means the HHS Office of the Secretary.

(k) "HHS-SSA" means the Social Security Administration.

(*l*) "HUD" means the United States Department of Housing and Urban Development.

(m) "IDG" means interdepartmental grant.

(n) "JCOS" means the joint capital outlay subcommittee.

(o) "Legislatively directed spending item" means that term as defined in section 364 of the management and budget act, 1984 PA 431, MCL 18.1364.

(p) "MCL" means the Michigan Compiled Laws.

(q) "MDE" means the Michigan department of education.

(r) "MDHHS" means the Michigan department of health and human services.

(s) "MDIFS" means the Michigan department of insurance and financial services.

(t) "MDLARA" means the Michigan department of licensing and regulatory affairs.

(u) "MDLEO" means the Michigan department of labor and economic opportunity.

(v) "MDMVA" means the Michigan department of military and veterans affairs.

(w) "MDOC" means the Michigan department of corrections.

(x) "MDOS" means the Michigan department of state.

(y) "MDOT" means the Michigan department of transportation.

(z) "MDSP" means the Michigan department of state police.

(aa) "MDTMB" means the Michigan department of technology, management, and budget.

(bb) "MEDC" means the Michigan economic development corporation, which is the public body corporate created under section 28 of article VII of the state constitution of 1963 and the urban cooperation act of 1967, 1967 (Ex Sess) PA 7, MCL 124.501 to 124.512, by contractual interlocal agreement effective April 5, 1999, between local participating economic development corporations formed under the economic development corporations act, 1974 PA 338, MCL 125.1601 to 125.1636, and the Michigan strategic fund.

(cc) "MEGA" means the Michigan economic growth authority.

(dd) "MFA" means the Michigan finance authority.

(ee) "MPE" means the Michigan public employees.

(ff) "MPSCS" means the Michigan public safety communications system.

(gg) "MSF" means the Michigan strategic fund.

(hh) "NERE" means nonexclusively represented employees.

(ii) "PA" means public act.

(jj) "RFP" means a request for a proposal.

(kk) "SEIU" means Service Employees International Union.

(*ll*) "SIGMA" means statewide integrated governmental management applications.

(mm) "Standard report recipients" means the senate and house appropriations subcommittees on general government, the senate and house fiscal agencies, the senate and house policy offices, and the state budget office.

(nn) "WIC" means women, infants, and children.

(oo) "UAW" means the United Automobile, Aerospace, and Agricultural implement Workers of America.

Sec. 204. A department or agency shall use the internet to fulfill the reporting requirements of this part, make each report readily accessible to the public, and conspicuously post each required report in a single archivable location on the department's or agency's Michigan.gov website not later than the due date required for each report. In addition to placing all reports required in the current fiscal year on the department's or agency's website, the department or agency shall maintain on its website all reports posted on the website from previous fiscal years, listed by fiscal year, in the same archivable location. The department or agency shall transmit all required reports for the current fiscal year to the standard recipients and any other required recipients by email.

Sec. 205. To the extent permissible under section 261 of the management and budget act, 1984 PA 431, MCL 18.1261, all of the following apply to the expenditure of funds appropriated in part 1:

(a) The funds must not be used for the purchase of foreign goods or services, or both, if competitively priced and of comparable quality American goods or services, or both, are available.

(b) Preference must be given to goods or services, or both, manufactured or provided by Michigan businesses, if they are competitively priced and of comparable quality.

(c) Preference must be given to goods or services, or both, that are manufactured or provided by Michigan businesses owned and operated by veterans, if they are competitively priced and of comparable quality.

Sec. 206. A department or agency shall not take disciplinary action against an employee of a department or an agency within a department for communicating with a member of the legislature or legislative staff, unless the communication is prohibited by law and the department or agency is exercising its authority as provided by law.

Sec. 207. Consistent with section 217 of the management and budget act, 1984 PA 431, MCL 18.1217, each department and agency receiving appropriations in part 1 shall prepare a report on out-of-state travel expenses not later than January 1. The report must list all travel by classified and unclassified employees outside this state in the previous fiscal year that was funded in whole or in part with funds appropriated in the department's or agency's budget. The department or agency shall submit the report to the standard report recipients and to the house and senate appropriations committees. The report must include all of the following information:

(a) The dates of each travel occurrence.

(b) The total transportation and related expenses of each travel occurrence and the proportions funded with state general fund/general purpose revenues, state restricted revenues, federal revenues, and other revenues.

Sec. 208. If the state administrative board, acting under section 3 of 1921 PA 2, MCL 17.3, transfers funds from an amount appropriated under part 1, the legislature may, by a concurrent resolution adopted by a majority of the members elected to and serving in each house, intertransfer funds within part 1 for the particular department, board, commission, officer, or institution.

Sec. 209. Not later than December 15, the state budget office shall prepare and submit a report that provides for estimates of the total general fund/general purpose appropriation lapses at the close of the previous fiscal year. The report must summarize the projected year-end general fund/general purpose appropriation lapses by major departmental program or program areas. The state budget office shall submit the report to the standard report recipients and the chairpersons of the senate and house appropriations committees.

Sec. 210. (1) In accordance with section 352 of the management and budget act, 1984 PA 431, MCL 18.1352, which provides for a transfer of state general fund revenue into or out of the countercyclical budget and economic stabilization fund, the calculations required by section 352 of the management and budget act, 1984 PA 431, MCL 18.1352, are determined as follows:

	2025	2026	2027
Michigan personal income (millions)	$672,972	$695,180	$720,207
Less: transfer payments	151,408	157,704	158,089
Subtotal	$521,564	$537,476	$562,118
Divided by: Detroit Consumer Price Index for 12 months ending December 31	2.979	3.078	3.17
Equals: real adjusted Michigan personal income	$175,089	$174,604	$177,311
Percentage change	N/A	-0.3%	1.6%
Growth rate in excess of 2%	N/A	0.0%	0.0%
Equals: calculated transfer to countercyclical budget and economic stabilization fund for the fiscal year ending September 30, 2027 (millions)	N/A	$0.0	
Growth rate less than 0%	N/A	YES	

Appropriation from countercyclical budget and economic stabilization fund allowed for the fiscal year ending September 30, 2027	N/A	NO

(2) Notwithstanding subsection (1), there is appropriated for the fiscal year ending September 30, 2027 from general fund/general purpose revenue for deposit into the countercyclical budget and economic stabilization fund the sum of $0.00.

Sec. 211. A department or agency shall cooperate with the MDTMB to maintain a searchable website accessible by the public at no cost that includes, but is not limited to, all of the following for each department or agency:

(a) Fiscal year-to-date expenditures by category.

(b) Fiscal year-to-date expenditures by appropriation unit.

(c) Fiscal year-to-date payments to a selected vendor, including the vendor name, payment date, payment amount, and payment description.

Sec. 212. Not later than 14 days after the release of the executive budget recommendation, a department or agency receiving appropriations in part 1 shall cooperate with the state budget office to provide an annual report on estimated state restricted fund balances, state restricted fund projected revenues, and state restricted fund expenditures for the previous 2 fiscal years. The report must be submitted to the standard report recipients and the chairpersons of the senate and house appropriations committees.

Sec. 214. To the extent permissible under the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594, the director of each department or agency receiving appropriations in part 1 shall take all reasonable steps to ensure geographically disadvantaged business enterprises compete for and perform contracts to provide services or supplies, or both. Each director shall strongly encourage firms with which the department or agency contracts to subcontract with certified geographically disadvantaged business enterprises for services, supplies, or both.

Sec. 215. On a quarterly basis, a department or agency receiving appropriations in part 1 and the office of the auditor general shall report on the number of FTEs in pay status by type of staff and civil service classification, including comparison by line item of the number of FTEs authorized from funds appropriated in part 1 to the actual number of FTE positions employed by the department or agency or the office of the auditor general at the end of the reporting period. The report must be submitted to the senate and house appropriations committees and to the standard report recipients.

Sec. 216. (1) A department or agency shall maximize utilization of its in-person state workforce. A department or agency shall prioritize occupancy utilization of office space for each division within the department or agency. Employees with job responsibilities that require the employees to serve in their capacities outside of an office shall be monitored each pay period to ensure all work hours reported on the timesheet were actually worked.

(2) A department or agency shall comply with requirements set forth by the office of the state employer on in-person work and utilization and occupancy rates of state buildings to ensure in-person work is optimized and occupancy rates are 80% or higher, subject to market conditions.

(3) A department or agency shall adhere to civil service rules and regulations that state the standard biweekly work period for a

full-time employee in the classified service of this state is the equivalent of 80 hours of work. A department or agency shall establish policies and processes to ensure all employees are working their jobs during agreed-upon business hours.

Sec. 217. Not later than 6 months after the state budget office issues work project letters, each department or agency and the legislature shall submit an annual report that summarizes all work project accounts. The report must include all of the following:

(a) A list of all work project accounts.

(b) The status of all work project accounts, including amounts expended, amounts encumbered, and available balances for each account.

(c) The amount of funds that lapsed from any previously designated work project accounts, the name and description of the work project account, and the funds that received the lapsed amounts.

Sec. 218. A department or agency receiving appropriations in part 1 shall receive and retain copies of all reports funded from appropriations in part 1. A department or agency shall follow federal and state law and guidelines for short-term and long-term retention of records. A department or agency may electronically retain copies of reports unless otherwise required by federal and state guidelines.

Sec. 219. Not later than April 1, a department or agency receiving appropriations in part 1 shall report on each specific policy change made to implement a PA affecting the department or agency that took effect during the previous calendar year. The report must include reference to the public act that necessitates the policy change. The department or agency shall submit the report to the standard report recipients, to the senate and house appropriations committees, and to the joint committee on administrative rules.

Sec. 221. (1) Funds appropriated in part 1 must not be used to restrict or impede a marginalized community's access to government resources, programs, or facilities.

(2) From the funds appropriated in part 1, local governments shall report any action or policy that attempts to restrict or interfere with the duties of a local health officer.

Sec. 222. To the extent possible, a department or agency shall not expend appropriations under part 1 until all existing authorized work project funds available for the same purposes are exhausted.

Sec. 223. A department or agency that receives an appropriation under this part or part 1 shall provide an annual report to the standard report recipients detailing federal policy changes that do, or are expected to do, any of the following:

(a) Affect the operations of the department or agency, including reductions in federal revenue. For federal revenue reductions, the annual report must detail the impact on the department or agency and residents of this state, including, but not limited to, all of the following information:

(*i*) The amount of additional state revenue required to replace the lost federal revenue.

(*ii*) The services that the department or agency will have to reduce or eliminate as a result of the lost revenue.

(*iii*) The anticipated fiscal impact on residents of this state.

(b) Affect an industry, community, population, or other group that is regulated or served by, or that otherwise engages with, the department or agency.

(c) Create a regulatory gap that could negatively impact the public.

(d) Increase the department's or agency's costs.

(e) Reduce or eliminate a program that provides services to residents of this state.

Sec. 224. Not later than April 1, a department or agency shall provide to the standard report recipients a copy of its annual strategic plan prepared in compliance with section 363 of the management and budget act, 1984 PA 431, MCL 18.1363. The plan must include the mission, vision, goals, strategies, and performance measures of the department.

Sec. 226. A department or agency shall report on any court settlement that may require further legislative review of state statutory programs or regulations.

Sec. 227. Not later than November 15, a department or agency shall disclose on a publicly accessible website private and other third-party funds received by the department or agency in the previous fiscal year. The report must include the amount of funding received, the specific source of funding received, the purpose for which funding was expended, and the amount of any remaining funds. The report must be submitted to the standard report recipients and to the chairpersons of the senate and house appropriations committees.

Sec. 228. (1) Not later than 30 days after the effective date of this act, the house and senate shall provide to the state budget office a jointly agreed-upon list of legislatively directed spending items funded in part 1. The list must include all information and documents pertaining to the legislatively directed spending items as publicly disclosed in accordance with sections 364 and 364a of the management and budget act, 1984 PA 431, MCL 18.1364 and 18.1364a.

(2) In accordance with section 364 of the management and budget act, 1984 PA 431, MCL 18.1364, the department or agency administering a legislatively directed spending item shall post a report in a publicly accessible location on its website beginning March 15. The department or agency shall update the report and shall post an updated report not later than June 15 and again not later than September 15. The department or agency shall include in the report the most comprehensive information for each legislatively directed spending item that the department has available at the time of posting.

Sec. 229. The state budget director shall ensure that all state fiscal recovery funds allocated to this state under the American rescue plan act of 2021, Public Law 117-2, are expended by December 31, 2026, as required by law. Any state fiscal recovery funds that would otherwise lapse after September 30, 2026, are automatically reappropriated for the same purpose as originally authorized and available for expenditure through December 31, 2026, and any subsequent financial closeout period.

Sec. 230. (1) The state budget director shall ensure that all state fiscal recovery funds allocated to this state under the American rescue plan act of 2021, Public Law 117-2, are expended by December 31, 2026, as required by law. The state budget director may reallocate appropriated funds for the purpose of fully utilizing state fiscal recovery funds that are in jeopardy of not meeting the expenditure deadline for reasons that may include, but are not limited to, completed projects coming in under budget or funds unable to be fully used by subrecipients. The state budget director shall reallocate any of the funds reallocated under this subsection to the programs or purposes specified in this section. All funds reallocated are unappropriated under this subsection and are immediately reappropriated for the following purposes:

(a) To reclassify general fund/general purpose appropriations for payroll and covered benefits for eligible public health and safety employees at the department of corrections.

(b) To reclassify general fund/general purpose appropriations for payroll and covered benefits for eligible public health and safety employees at the department of state police.

(2) All applicable guidance, implementation, and reporting provisions of the American rescue plan act of 2021, Public Law 117-2, must be followed for state fiscal recovery funds reallocated and reappropriated under subsection (1).

(3) The state budget director shall notify the senate and house appropriations committees not later than 1 business day after making a reallocation under subsection (1). The notification must include the authorized program under which funds were originally appropriated, the amount of the reallocation, the program, or programs, or purpose, and the department or agency to which the funds are being reallocated, and the amount reallocated to each program or purpose.

Sec. 231. (1) In addition to any other requirements under this part, if a department or agency is authorized under this part to expend funds in addition to those appropriated in part 1, the department shall do all of the following:

(a) Not later than November 1, provide a report to the chairpersons of the house and senate appropriations committees, the house and senate fiscal agencies, and the state budget office that details all of the following:

(*i*) The type of funding received during the previous fiscal year that was authorized in part 2 of the article that made appropriations for the department or agency in the previous fiscal year.

(*ii*) When the funding was received.

(*iii*) The amount of funding received.

(*iv*) How much of the funding was spent and for what purpose.

(b) Not later than 60 days after receiving the funds authorized under this part, provide a report to the chairpersons of the house and senate appropriations committees, the house and senate fiscal agencies, and the state budget office that details all of the following:

(*i*) The type of funding received.

(*ii*) When the funding was received.

(*iii*) The amount of funding received.

(*iv*) The anticipated or actual amount to be spent and the specified purpose or purposes.

(c) Not later than February 15, provide a report to the chairpersons of the house and senate appropriations committees, the house and senate fiscal agencies, and the state budget office with an estimate of funding authorized by this part that the department or agency anticipates it will receive in the subsequent fiscal year that details all of the following:

(*i*) The type or types of funding anticipated.

(*ii*) The amount or amounts of funding anticipated.

(*iii*) The purpose or purposes of the funding.

(2) If another reporting requirement under this part would provide substantially similar information on a substantially similar time frame as would be reported under subsection (1), subsection (1) does not apply.

Sec. 232. Funds appropriated in part 1 must not be used by this state or a department, agency, or authority of this state to purchase an ownership interest in a casino enterprise or a gambling operation as those terms are defined in the Michigan Gaming Control and Revenue Act, 1996 IL 1, MCL 432.201 to 432.226.

DEPARTMENT OF ATTORNEY GENERAL

Sec. 301. (1) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $750,000.00 for federal contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(2) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $750,000.00 for state restricted contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(3) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $50,000.00 for local contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(4) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $50,000.00 for private contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

Sec. 302. (1) The attorney general shall perform all legal services, including representation before courts and administrative agencies, rendering legal opinions, and providing legal advice to a principal executive department or state agency. A principal executive department or state agency shall not employ or enter into a contract with any other person for services described in this section.

(2) The attorney general shall defend judges of all state courts if a claim is made or a civil action is commenced for injuries to persons or property caused by the judge through the performance of the judge's duties while acting within the scope of the judge's authority as a judge.

(3) The attorney general shall perform the duties specified in 1846 RS 12, MCL 14.28 to 14.35, and 1919 PA 232, MCL 14.101 to 14.102, and as otherwise provided by law.

Sec. 303. The attorney general may provide not more than 350 copies of the report required under section 30 of 1846 RS 12, MCL 14.30, on a gratis basis. If the attorney general provides 350 copies of the report on a gratis basis, the attorney general may sell additional copies of the report. The attorney general shall not provide gratis copies of the report to members of the legislature. Electronic copies of biennial reports must be made available on the department of attorney general's website. The attorney general shall sell copies of the report at not less than the actual cost of the report and deposit the money received from the sales into the general fund.

Sec. 304. The department of attorney general is responsible for the legal representation of the law of this state and the legal representation for state of Michigan state employee worker's disability compensation cases. The risk management revolving fund revenue appropriation in part 1 must be satisfied by billings from the department of attorney general for the actual costs of legal representation, including salaries and support costs.

Sec. 307. (1) In addition to the antitrust enforcement collections revenues in part 1, not more than $5,000,000.00 in antitrust revenues, securities fraud revenues, consumer protection or class action enforcement revenues, or attorney fees recovered by the department of attorney general are appropriated to the department of attorney general for antitrust, securities fraud, and consumer protection or class action enforcement cases.

(2) Not more than $1,000,000.00 of the unexpended funds from antitrust revenues, securities fraud revenues, or consumer protection or class action enforcement revenues at the end of the fiscal year, including antitrust funds in part 1, may be carried forward for expenditure in the following fiscal year.

(3) On request, the department of attorney general shall make available information detailing the amount of revenue described in subsection (1) recovered by the attorney general and a description of the source of the revenue and the carryforward amount.

Sec. 308. (1) In addition to the funds appropriated in part 1, not more than $1,000,000.00 is appropriated from litigation expense reimbursements awarded to this state.

(2) The funds described in subsection (1) may be expended for the payment of court judgments, settlements, arbitration awards or other administrative and litigation decisions, attorney fees, and litigation costs, assessed against the office of the governor, the department of attorney general, the governor, or the attorney general when acting in an official capacity as the named party in litigation against this state. The funds described in subsection (1) may also be expended for the payment of state costs incurred under section 16 of chapter X of the code of criminal procedure, 1927 PA 175, MCL 770.16.

(3) Unexpended funds at the end of the fiscal year may be carried forward for expenditure in the following year, but not more than a maximum authorization of $250,000.00.

Sec. 309. (1) From the prisoner reimbursement funds appropriated in part 1, the department of attorney general may expend not more than $790,600.00 on activities related to the state correctional facility reimbursement act, 1935 PA 253, MCL 800.401 to 800.406. In addition to the funds appropriated in part 1, if the department of attorney general collects more than $1,131,000.00 in gross annual prisoner reimbursement receipts provided to the general fund, not more than $1,000,000.00 of the excess is appropriated to the department of attorney general and may be spent on the representation of the MDOC and its officers, employees, and agents, including, but not limited to, the defense of litigation in civil actions filed by prisoners against this state, its departments, officers, employees, or agents.

(2) Not later than March 1, the department of attorney general shall submit a report to the standard report recipients and the house of representatives and senate appropriations subcommittees

with jurisdiction over the budget of the MDOC. The report must include all of the following:

(a) The total amount of reimbursements received under section 6 of the state correctional facility reimbursement act, 1935 PA 253, MCL 800.406.

(b) A description of each expenditure made from the reimbursements.

(c) The amount paid to conduct the investigations from the reimbursements.

(d) The amount credited to the general fund from the reimbursements.

Sec. 310. (1) For the purposes of providing title IV-D child support enforcement funding, the attorney general shall maintain a cooperative agreement with the MDHHS, as the state IV-D agency, for federal IV-D funding to support the child support enforcement activities within the department of attorney general.

(2) The attorney general or the attorney general's designee shall, to the extent allowed under federal law, have access to any information used by this state to locate parents who fail to pay court-ordered child support.

Sec. 312. The department of attorney general shall not receive or expend funds, other than those authorized in part 1, for legal services provided specifically to other state departments or agencies except for expert witness costs, court costs, or other nonsalary litigation costs associated with a pending legal action.

Sec. 313. The department of attorney general shall submit a quarterly report on the lawsuit settlement proceeds fund described in section 33 of 1846 RS 12, MCL 14.33, to the standard report recipients. Each report must include all of the following:

(a) The total amount of revenue deposited in the lawsuit settlement proceeds fund in the current fiscal year delineated by case.

(b) The total amount appropriated from the lawsuit settlement proceeds fund in the current fiscal year delineated by appropriation.

(c) Earned settlement proceeds that are anticipated but not yet deposited in the fund delineated by case.

(d) Any known potential settlement amounts from cases that have not been decided, delineated by case.

Sec. 315. Total authorized appropriations from all sources under part 1 for legacy costs for the fiscal year ending September 30, 2027 are $10,220,500.00. From this amount, total department of attorney general appropriations for pension-related legacy costs are estimated at $10,220,500.00. Total department of attorney general appropriations for retiree health care legacy costs are estimated at $0.00.

Sec. 316. (1) From the funds appropriated in part 1 for sexual assault law enforcement efforts, the department of attorney general shall use the funds to test backlogged sexual assault kits across this state. The funding provided in part 1 must be used for only 1 or more of the following purposes:

(a) To eliminate all county sexual assault kit backlogs across this state.

(b) To assist local prosecutors with investigations and prosecutions of viable sexual assault cases.

(c) To provide victim services.

(2) Not later than February 1, the department of attorney general shall submit a report to the standard report recipients.

The report must include all of the following information:

(a) The number of sexual assault kits across this state that remain untested as of January 31, 2027.

(b) A detailed work plan that outlines the department of attorney general's action plan to eliminate all outstanding sexual assault kits and the time frame for completion of testing of all untested sexual assault kits.

(c) A detailed work and spending plan that outlines anticipated litigation action and expenditures resulting from findings of the sexual assault kit testing.

(3) Any funds remaining after the department of attorney general has met the obligations required under subsection (1) may be used for the purpose of retesting any previously tested sexual assault kits across this state using currently available DNA testing. Funds may be used under this subsection only for DNA testing on previously tested kits that were not tested for DNA. If there are remaining untested sexual assault kits on January 31, 2027, funds appropriated in part 1 must be used only for the testing of those kits.

Sec. 319. From the funds appropriated in part 1, the attorney general shall submit a quarterly report on the wrongful imprisonment compensation fund that includes at least all of the following:

(a) All payments made from the wrongful imprisonment compensation fund in each prior quarter of the fiscal year, and the total of those payments, including if each payment is part of a new settlement or part of an installment plan.

(b) Total payments made from each prior fiscal year and the total of all payments to date.

(c) Any settlements that have been decided but have yet to receive a payment.

(d) The number of known cases seeking a settlement, but do not have a final judgment, and the dollar amount of each potential payment for these known cases, and the total of these payments.

(e) The balance of the wrongful imprisonment compensation fund at the end of the previous quarter.

(f) The percentage of claims received in the immediately preceding fiscal quarter that were awarded compensation.

(g) The percentage of claims received in the immediately preceding fiscal year that were awarded compensation.

(h) For claims that did not receive the full amount of compensation sought, both of the following:

(*i*) The amount of compensation that was sought.

(*ii*) The amount of compensation that was received.

Sec. 320. (1) From the funds appropriated in part 1, the department of attorney general shall do all of the following:

(a) Not later than 14 days after the settlement of a lawsuit with a fiscal impact of $200,000.00 or more, submit a report on the settlement to the standard report recipients.

(b) Enforce the laws of this state.

(2) Any proceeds from a lawsuit initiated by or settlement agreement entered into on behalf of this state against a manufacturer of tobacco products or manufacturer or distributor of opioid products by the attorney general are state funds, unless otherwise directed by a court or legal agreement, and are subject to appropriation as provided by law.

Sec. 321. From the funds appropriated in part 1, the department of attorney general shall maintain a publicly accessible website dedicated to opioid settlement distributions. The website must include estimated future amounts payable to local units of government and estimated amounts received by local units of government, delineated by case settlement agreement.

Sec. 322. (1) Not later than February 1, the department of attorney general shall submit a report to the standard report recipients on the cumulative dollar expenditure amount related to each of the following initiatives and activities of the department of attorney general for the immediately preceding fiscal year:

(a) Elder abuse task force.

(b) Conviction integrity unit.

(c) Opioid litigation.

(d) Hate crimes unit and domestic terrorism unit.

(e) Payroll fraud enforcement unit.

(f) PFAS contamination. As used in this subdivision, "PFAS" means perfluoroalkyl and polyfluoroalkyl substances.

(g) Human trafficking.

(h) Robocall enforcement.

(i) Job court.

(j) Organized retail crime unit.

(k) Reducing utility rate increases.

(*l*) Address confidentiality program.

(2) For each expenditure required to be reported under subsection (1), the report must include the dollar amount spent by fund source.

(3) For each initiative listed under subsection (1), the department of attorney general shall provide a summary of activities, staffing levels, and outcomes as practicable.

Sec. 324. (1) Not later than September 30, the department of attorney general must make available to the public on its website a report on the activities and findings, since April 1, 2019, of the payroll fraud enforcement unit. The report must include all of the following:

(a) A list of each complaint received by the unit.

(b) For each complaint listed under subdivision (a), whether the attorney general took enforcement action on the complaint and, if applicable, a description of the enforcement action.

(2) If the payroll fraud enforcement unit requests that another department or agency investigate the validity of a report received by the unit, or if the unit refers a complaint to another department or agency, the department of attorney general shall request the department or agency to report back on the department's or agency's findings to enable the department of attorney general to comply with this section.

Sec. 325. (1) From the funds appropriated in part 1, $2,450,000.00, of which $1,950,000.00 is a one-time appropriation, must be used by a nonprofit entity or nonprofit entities to provide legal and technical assistance to low-income individuals and to pursue impact litigation that protects low-income and marginalized populations.

(2) For the purposes of facilitating and administering this program, the department of attorney general may contract with a third-party nonprofit entity or foundation involved in promoting improvements in the administration of justice.

(3) A third-party nonprofit entity or foundation contracted to administer and facilitate this program shall subgrant all or part of the distribution from part 1. The subgrant must be used to provide legal and technical assistance to low-income individuals

and to pursue impact litigation that protects low-income and marginalized populations. A grant or subgrant for purposes of this section must not go to an entity receiving federal funding for the purposes of providing legal aid. Not more than 10% of the money appropriated in part 1 may be used for administering this grant program.

ONE-TIME APPROPRIATIONS

Sec. 330. The unexpended funds appropriated in part 1 for utility rate case oversight are designated as a work project appropriation, and any unencumbered or unallotted funds do not lapse at the end of the fiscal year and are available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to support legal activities conducted by the department of attorney general pertaining to utility rate cases.

(b) The project will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated cost of the project is $2,000,000.00.

(d) The tentative completion date is September 30, 2031.

DEPARTMENT OF CIVIL RIGHTS

Sec. 401. (1) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $1,000,000.00 for federal contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(2) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $375,000.00 for private contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

Sec. 402. (1) In addition to the appropriations contained in part 1, the department of civil rights may receive and expend not more than $600,000.00 in funds from local sources, private sources, or both, for all of the following purposes:

(a) Developing and presenting training for employers on equal employment opportunity law and procedures.

(b) Publishing and selling civil rights related informational material.

(c) Providing copies of material made available in response to requests under the freedom of information act, 1976 PA 442, MCL 15.231 to 15.246.

(d) Paying other copy fees, subpoena fees, and witness fees.

(e) Developing, presenting, and participating in mediation processes for certain civil rights cases.

(f) Providing workshops, seminars, and recognition or award programs consistent with the programmatic mission of the individual unit sponsoring or coordinating the programs.

(g) Paying staffing costs for all activities included in this subsection.

(2) Not later than November 30, the department of civil rights shall submit a report to the standard report recipients and the senate and house of representatives standing committees on

appropriations on the amount of funds received and expended for purposes authorized under this section.

Sec. 403. (1) The department of civil rights may contract with local units of government to review equal employment opportunity compliance of potential and existing contractors and may charge for and expend amounts received from local units of government for the purpose of developing and providing these contractual services.

(2) Not later than November 30, the department of civil rights shall submit a report to the standard report recipients and the senate and house of representatives standing committees on appropriations on the amount of funds received and expended for purposes authorized under this section.

Sec. 404. The department of civil rights shall submit quarterly reports to the standard report recipients that include, but are not limited to, all of the following information for the immediately preceding fiscal quarter:

(a) The number of all complaints received by the department by basis of complaint.

(b) The number of certified complaint cases initiated by basis of complaint.

(c) The number of certified complaint cases completed.

(d) The final disposition of certified complaint case investigations.

(e) The average number of days for a case to be completed after certification.

(f) The number of FTE positions filled from the FTE authorization for complaint investigations and enforcement.

(g) The number of open cases that have been open for more than 1 year.

(h) The quotient of the number of certified cases completed divided by the number of filled FTE positions.

(i) A listing of amounts awarded to claimants.

Sec. 405. On submitting a report or complaint to the United States Commission on Civil Rights or any other federal department, the department of civil rights shall submit a copy of the report or complaint to the standard report recipients not later than the next business day.

Sec. 410. Total authorized appropriations from all sources under part 1 for legacy costs for the fiscal year ending September 30, 2027 are $2,255,000.00. From this amount, total department of civil rights appropriations for pension-related legacy costs are estimated at $2,255,000.00. Total department of civil rights appropriations for retiree health care legacy costs are estimated at $0.00.

LEGISLATURE

Sec. 600. The senate, the house of representatives, or an entity within the legislative branch may receive, expend, and transfer funds in addition to those authorized in part 1.

Sec. 601. (1) Funds appropriated in part 1 to an entity within the legislative branch must not be expended or transferred to another account without written approval of the authorized agent of the legislative entity. If the authorized agent of the legislative entity notifies the state budget director of its approval of an expenditure or transfer before the year-end book-closing date for that legislative entity, the state budget director shall immediately make the expenditure or transfer. The authorized legislative entity must be designated by the speaker of the house of representatives for house entities, the senate majority leader for senate entities, and the legislative council for legislative council entities.

(2) Funds appropriated within the legislative branch, to a legislative council component, must not be expended by any agency or other subgroup included in that component without the approval of the legislative council.

Sec. 602. The senate may charge rent and assess charges for utility costs. The amounts received for rent charges and utility assessments are appropriated to the senate for the renovation, operation, and maintenance of the Binsfeld Office Building.

Sec. 604. (1) The appropriation in part 1 to the Michigan state capitol historic site includes funds to operate the legislative parking facilities in the capitol area. The Michigan state capitol commission shall establish rules regarding the operation of the legislative parking facilities.

(2) The Michigan state capitol commission may collect a fee from state employees and the general public using certain legislative parking facilities. The revenues received from the parking fees are appropriated on receipt and must be allocated by the Michigan state capitol commission.

(3) As used in this section, "Michigan state capitol commission" means the Michigan state capitol commission established in the Michigan state capitol historic site act, 2013 PA 240, MCL 4.1945.

Sec. 605. The unexpended funds appropriated in part 1 for the legislative council are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is publication of the Michigan manual.

(b) The project will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated cost of the project is $3,000,000.00.

(d) The tentative completion date is September 30, 2031.

Sec. 606. The unexpended funds appropriated in part 1 for property management are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to purchase equipment and services for building maintenance to ensure a safe and productive work environment.

(b) The project will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated cost of the project is $2,000,000.00.

(d) The tentative completion date is September 30, 2031.

Sec. 607. The unexpended funds appropriated in part 1 for automated data processing are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section

451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to purchase equipment, software, and services to support and implement data processing requirements and technology improvements.

(b) The project will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated cost of the project is $3,000,000.00.

(d) The tentative completion date is September 30, 2031.

Sec. 608. In addition to funds appropriated in part 1, the Michigan capitol committee publications save the flags fund account may accept contributions, gifts, bequests, devises, grants, and donations. Those funds that are not expended in the fiscal year ending September 30, 2027 do not lapse at the close of the fiscal year, and must be carried forward for expenditure in the following fiscal years.

Sec. 611. (1) From the funds appropriated in part 1 for senate, $250,000.00 must be allocated for an internship program.

(2) From the funds appropriated in part 1 for house of representatives, $250,000.00 must be allocated for an internship program.

Sec. 612. It is the intent of the legislature that, from the funds appropriated in part 1, the Michigan state capitol commission established in section 5 of the Michigan state capitol historic site act, 2013 PA 240, MCL 4.1945, ensure that the Capitol Building is open for not less than 3 hours on Saturdays that are not state holidays.

Sec. 615. Total authorized appropriations from all sources under part 1 for legacy costs for the fiscal year ending September 30, 2027 are estimated at $15,046,800.00. From this amount, total legislature appropriations for pension-related legacy costs are estimated at $15,046,800.00. Total legislature appropriations for retiree health care legacy costs are estimated at $0.00.

LEGISLATIVE AUDITOR GENERAL

Sec. 620. In accordance with section 53 of article IV of the state constitution of 1963, the auditor general shall conduct audits of the executive, judicial, and legislative branches.

Sec. 621. (1) The auditor general shall take all reasonable steps to ensure that certified minority- and women-owned and operated accounting firms, accounting firms owned and operated by persons with disabilities, and accounting firms that are geographically disadvantaged business enterprises participate in the audits of the books, accounts, and financial affairs of each principal executive department, branch, institution, agency, and office of this state.

(2) If the auditor general contracts with a firm to perform audits of the principal executive departments and state agencies, the auditor general shall strongly encourage the firm to subcontract with certified minority- and women-owned and operated accounting firms, accounting firms owned and operated by persons with disabilities, and accounting firms that are geographically disadvantaged business enterprises.

(3) Not later than November 1, the auditor general shall submit a report to the standard report recipients regarding the number of contracts entered into with certified minority- and women-owned and operated accounting firms, accounting firms owned and operated by persons with disabilities, and accounting firms that are geographically disadvantaged business enterprises.

Sec. 622. From the funds appropriated in part 1 to the office of the auditor general, the auditor general's salary and the salaries of the remaining 2.0 FTE unclassified positions must be set by the speaker of the house of representatives, the senate majority leader, the house of representatives minority leader, and the senate minority leader.

Sec. 623. Any audits, reviews, or investigations requested of the auditor general by the legislature or by legislative leadership, legislative committees, or individual legislators must include an estimate of the additional costs involved and, if those costs exceed $50,000.00, must provide supplemental funding. The auditor general shall determine whether to perform those activities in accordance with Operations Manual Policy No. 2-26.

Sec. 627. The unexpended funds appropriated in part 1 for field operations are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to conduct the state of Michigan annual comprehensive financial report.

(b) The project will be accomplished by utilizing state employees and contract audits.

(c) The total estimated cost of the project is $3,000,000.00.

(d) The tentative completion date is September 30, 2031.

Sec. 628. On a quarterly basis, the auditor general shall submit a report to the standard report recipients, the chairpersons of the senate and house appropriations committees, and the senate and house oversight committees that includes all of the following information related to projects initiated during the immediately preceding quarter:

(a) Audit title.

(b) Audit type.

(c) Audit period.

(d) Audit objectives.

(e) Branch of government being audited.

(f) Whether the auditor general or a contracted auditor is conducting the audit and, if a contracted auditor is conducting the audit, the identity of the contracted auditor.

(g) Details regarding the reason for initiating the audit, including whether it was discretionary or required by statute.

(h) Details regarding any similar audit the auditor general has completed in the past.

(i) Estimated time frame for completion of the audit.

(j) Estimated total auditor general resources necessary to complete the audit and release a report.

Sec. 629. On a quarterly basis, the auditor general shall submit a report to the standard report recipients, the chairpersons of the senate and house appropriations committees, and the senate and house oversight committees that includes all of the following information for each project in progress during the immediately preceding quarter:

(a) Audit title.

(b) Date the audit was initiated.

(c) Audit status.

(d) Estimated time frame for completion of the audit.

(e) Details regarding the resources spent on the audit to date.

(f) Estimated total auditor general resources necessary to complete the audit and release a report.

Sec. 630. On a quarterly basis, the auditor general shall submit a report to the standard report recipients, the chairpersons of the senate and house appropriations committees, and the senate and house oversight committees that contains all of the following information for each project completed during the immediately preceding quarter:

(a) Audit title.

(b) Date the audit was initiated.

(c) Date the audit report was released.

(d) Results of the audit, including the number and type of findings.

(e) Details regarding total auditor general resources spent on the audit.

(f) To the extent authorized by law, details regarding any inquiry, tip, or request related to the audit that the auditor general received before initiating the audit.

DEPARTMENT OF STATE

Sec. 701. (1) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $1,500,000.00 for federal contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(2) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $1,500,000.00 for state

restricted contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(3) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $50,000.00 for local contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(4) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $100,000.00 for private contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

Sec. 703. From the funds appropriated in part 1, the MDOS shall submit quarterly reports on record lookup fees to the standard report recipients. Each report must include the number of records sold and the revenues collected as authorized in section 208b of the Michigan vehicle code, 1949 PA 300, MCL 257.208b, section 7 of 1972 PA 222, MCL 28.297, and sections 80130, 80315, 81114, and 82156 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.80130, 324.80315, 324.81114, and 324.82156.

Sec. 705. (1) The MDOS may accept gifts, donations, contributions, and grants of money and other property from any private or public source to underwrite, in whole or in part, the cost of a departmental publication that is prepared and disseminated under the Michigan vehicle code, 1949 PA 300, MCL 257.1 to 257.923. A private or public funding source may receive written recognition in the publication and may furnish a traffic safety message, subject to approval of the MDOS, for inclusion in the publication. The MDOS may reject a gift, donation, contribution, or grant. The MDOS may furnish copies of a publication underwritten, in whole or in part, by a private source to the underwriter at no charge.

(2) The MDOS may sell and accept paid advertising for placement in a departmental publication that is prepared and disseminated under the Michigan vehicle code, 1949 PA 300, MCL 257.1 to 257.923. The MDOS may charge and receive a fee for any advertisement appearing in a departmental publication and shall review and approve the content of each advertisement. The MDOS may refuse to accept advertising from any person or organization. The MDOS may furnish a reasonable number of copies of a publication to an advertiser at no charge.

(3) Pending expenditure, the funds received under this section must be deposited in the Michigan department of state publications fund created in section 211 of the Michigan vehicle code, 1949 PA 300, MCL 257.211. Funds given, donated, or contributed to the MDOS from a private source are appropriated and allocated for the purpose for which the revenue is furnished. Funds granted to the MDOS from a public source are allocated and may be expended on receipt by the MDOS. The MDOS shall not accept a gift, donation, contribution, or grant if receipt is conditioned on a commitment of state funding at a future date. Revenue received from the sale of advertising is appropriated and may be expended on receipt by the MDOS.

(4) Any unexpended revenues received under this section must be carried over into subsequent fiscal years and are available for appropriation for the purposes described in this section.

(5) If the MDOS receives a gift, contribution, donation, or grant of money as authorized under section 705 of article 5 of 2025 PA 22, not later than March 1, the MDOS shall submit a report to the standard report recipients that includes all of the following information for the immediately preceding fiscal year:

(a) The amount of gifts, contributions, donations, and grants of money received by the MDOS under section 705 of article 5 of 2025 PA 22.

(b) A list of the expenditures made from the amounts received by the MDOS as reported in subdivision (a).

(c) A list of any gift, donation, contribution, or grant of property other than funding received by the MDOS under section 705 of article 5 of 2025 PA 22.

(d) The total revenue received from the sale of paid advertising accepted under this section and a statement of the total number of advertising transactions.

(6) In addition to copies delivered without charge as the secretary of state considers necessary, the MDOS may sell copies of manuals and other publications regarding the sale, ownership, or operation or regulation of motor vehicles, with amendments, at prices to be established by the secretary of state. As used in this subsection, the term "manuals and other publications" includes videos and proprietary electronic publications. All funds received from sales of these manuals and other publications must be credited to the Michigan department of state publications fund created in section 211 of the Michigan vehicle code, 1949 PA 300, MCL 257.211.

Sec. 707. Funds collected by the MDOS under section 211 of the Michigan vehicle code, 1949 PA 300, MCL 257.211, are appropriated for all expenses necessary to provide for the costs of the publication described in section 211 of the Michigan vehicle code, 1949 PA 300, MCL 257.211. Funds are allocated for expenditure when they are received by the department of treasury and do not lapse to the general fund at the end of the fiscal year.

Sec. 708. From the funds appropriated in part 1, the MDOS shall use available balances at the end of the state fiscal year to provide payment to the MDSP in the amount of $332,000.00 for the services provided by the traffic accident records program as first appropriated in 1990 PA 196 and 1990 PA 208.

Sec. 709. From the funds appropriated in part 1, the MDOS may restrict funds from miscellaneous revenue to cover cash shortages created from normal branch office operations. The restricted amount must not exceed $50,000.00 of the total funds available in miscellaneous revenue.

Sec. 710. The MDOS shall delegate all responsibility for the procurement, development, and maintenance of all information technology services and products to the MDTMB unless otherwise delegated the responsibility by law in an effort to streamline the procurement process and to ensure compliance with the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594.

Sec. 711. Collector plate and fund-raising registration plate revenues collected by the MDOS are appropriated and allotted for distribution to the recipient university or public or private agency overseeing a state-sponsored goal when received. Distributions must occur on a quarterly basis or as otherwise authorized by law. Any revenues remaining at the end of the fiscal year do not lapse to the general fund and remain available for distribution to the university or agency in the next fiscal year.

Sec. 713. (1) The MDOS, in collaboration with the Gift of Life Michigan or its successor federally designated organ procurement organization, may develop and administer a public information campaign concerning the Michigan organ donor program.

(2) The MDOS may solicit funds from any private or public source to underwrite, in whole or in part, the public information campaign authorized by this section. The MDOS may accept gifts, donations, contributions, and grants of money and other property from private and public sources for this purpose. A private or public funding source underwriting the public information campaign, in whole or in substantial part, shall receive sponsorship credit for its financial backing.

(3) Funds received under this section, including grants from state and federal agencies, do not lapse to the general fund at the end of the fiscal year and remain available for expenditure for the purposes described in this section.

(4) Funding appropriated in part 1 for the organ donor program must be used to produce a pamphlet regarding organ donations and to distribute the pamphlet with driver licenses and personal identification cards. The pamphlet must do both of the following:

(a) Explain the organ donor program and encourage people to become donors by marking a checkoff on driver license and personal identification card applications.

(b) Include a return reply form addressed to the gift of life organization.

(5) Funding appropriated in part 1 for the organ donor program must be used to pay for return postage costs of the return reply

form described in subsection (4)(b).

(6) In addition to the appropriations in part 1, the MDOS may receive and expend funds from the organ and tissue donation education fund for administrative expenses.

(7) Not later than March 1, the department shall submit a report to the standard report recipients. The report must include all of the following:

(a) The amount of revenue collected by the MDOS under this section.

(b) The purpose of each expenditure.

(c) The amount of revenue carried forward.

Sec. 714. (1) Except as otherwise provided under subsection (2), not less than 180 days before closing a branch office or consolidating a branch office and not less than 60 days before relocating a branch office, the MDOS shall submit a report to the standard report recipients, the members of the senate and house of representatives standing committees on appropriations, and legislators who represent affected areas. The report must include all of the following:

(a) All analyses done regarding criteria for changes in the location of branch offices, including, but not limited to, all of the following:

(*i*) Branch transactions.

(*ii*) Revenue.

(*iii*) The impact on citizens of the affected area, including information regarding additional distance to branch office locations resulting from the changes.

(b) Detailed estimates of costs and savings that will result from the overall changes made to the branch office structure.

(c) Detailed estimates of costs for new leased facilities and expansions of current leased space.

(2) If the consolidation of a branch office is with another branch office that is located within the same local unit of government or the relocation of a branch office is to another location that is located within the same local unit of government, the MDOS is not required to submit a report under subsection (1).

(3) As used in this section, "local unit of government" means a city, village, township, or county.

Sec. 715. (1) Any service assessment collected by the MDOS from the user of a credit or debit card under section 3 of 1995 PA 144, MCL 11.23, may be used by the MDOS for necessary expenses related to that service and may be remitted to a credit or debit card company, bank, or other financial institution.

(2) The service assessment imposed by the MDOS for credit and debit card services may be based on a percentage of each individual credit or debit card transaction or a flat rate per transaction, or both, scaled to the amount of the transaction. However, the department shall not charge any amount for a service assessment that exceeds the costs billable to the MDOS for the service assessment.

(3) If there is a balance of service assessments received from credit and debit card services remaining on September 30, the balance may be carried forward to the following fiscal year and appropriated for the same purpose.

(4) As used in this section, "service assessment" means costs associated with service fees imposed by credit and debit card companies and processing fees imposed by banks and other financial institutions.

Sec. 716. From the funds appropriated in part 1 for branch operations, the department of state shall provide adequate in-person services as defined in section 1a of the Michigan vehicle code, 1949 PA 300, MCL 257.1a.

Sec. 717. (1) The MDOS may accept gifts, donations, or contributions of property from any private or public source to support, in whole or in part, the operation of a departmental function relating to licensing, regulation, or safety. The MDOS may recognize a private or public contributor for making the contribution. The MDOS may reject a gift, donation, or contribution. Any revenues received under this subsection may be expended for the departmental functions relating to licensing, regulation, or safety.

(2) The MDOS shall not accept a gift, donation, or contribution under subsection (1) if receipt of the gift, donation, or contribution is conditioned on a commitment of future state funding.

(3) If the MDOS receives a gift, donation, or contribution of property as authorized under this section, not later than March 1, the MDOS shall submit a report to the standard report recipients. The report must include a list of each gift, donation, or contribution received by the department under subsection (1) for the immediately preceding calendar year.

Sec. 718. From the funds appropriated in part 1 for election regulation, all money must be spent in accordance with the Michigan election law, 1954 PA 116, MCL 168.1 to 168.992, and the instructions, orders, and guidance of the secretary of state regarding the proper method for the conduct and administration of elections.

Sec. 719. Not later than February 1, the MDOS shall submit a report to the standard report recipients on all funding allocated to counties, cities, and townships from funds appropriated in part 1 for election administration and services. The report must include the amount and purpose of each payment provided to a county, city, or township.

Sec. 721. (1) Upon the conclusion of any security service provided to a legislator outside of the state capitol complex, the sergeant at arms shall submit a formal incident service report with the secretary of state. This report must include all of the following:

(a) The date, time, and specific location of the service.

(b) The name of the legislator receiving protection.

(c) A description of the security necessity or specific threat addressed.

(d) A detailed account of any coordination with local or state law enforcement agencies.

(e) A listing of any significant security incidents or use-of-force incidents occurring during the detail.

(2) A report described in subsection (1) must not include information that would compromise the safety or security of a legislator, including security plans, emergency operations, or other sensitive details.

(3) Not fewer than 1 time each legislative session, the sergeant at arms, or the designee of the sergeants at arms, shall submit a written report to the house and senate committees on government operations that details all security services provided to legislators. While maintaining the confidentiality of sensitive security protocols, the report must include all of the following:

(a) The total number of security details deployed.

(b) The general nature of threats addressed.

(c) A summary of operational expenditures.

(4) As soon as practicable, but not later than 5 business days after the secretary of state receives a report submitted under subsections (1) or (3), the secretary of state shall make the report, or all of the contents of the report, available without charge to the public on a separate webpage or the MDOS webpage.

(5) A legislator that violates this section shall reimburse the legislative chamber of which the legislator is a member for any expenses incurred by the chamber in the course of the violation and shall additionally pay a penalty of not less than 10% of that amount. The reimbursement and penalty must not be paid from funds obtained from state sources or from funds that are subject to the Michigan campaign finance act, 1976 PA 388, MCL 169.201 to 169.282.

Sec. 724. The MDOS shall reimburse a county, city, or township for allowable expenses not later than 60 days after the MDOS receives a bill for allowable expenses and all necessary documentation from the county, city, or township.

Sec. 725. Total authorized appropriations from all sources under part 1 for legacy costs for the fiscal year ending September 30, 2027 are estimated at $14,617,600.00. From this amount, total department of state appropriations for pension-related legacy costs are estimated at $14,617,600.00. Total department of state appropriations for retiree health care legacy costs are estimated at $0.00.

DEPARTMENT OF TECHNOLOGY, MANAGEMENT, AND BUDGET

Sec. 801. (1) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $50,000,000.00 for federal contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(2) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $200,000,000.00 for state restricted contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(3) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $5,000,000.00 for local contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(4) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $5,000,000.00 for private contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

Sec. 802. Any proceeds that exceed necessary costs incurred in conducting transfers, auctions, direct sales, or scrapping of state surplus property under section 267 of the management and budget act, 1984 PA 431, MCL 18.1267, are appropriated to the MDTMB to offset any costs incurred in the acquisition and distribution of surplus property. The MDTMB shall provide consolidated internet auction services through this state's contractors for all local units of government.

Sec. 803. (1) The MDTMB may receive and expend funds in addition to those authorized by part 1 for maintenance and operation services provided specifically to other principal executive departments or state agencies, the legislative branch, the judicial branch, or private tenants, or provided in connection with facilities transferred to the operational jurisdiction of the MDTMB.

(2) The MDTMB may receive and expend funds in addition to those authorized by part 1 for real estate, architectural, design, engineering, and project oversight services provided specifically to other principal executive departments or state agencies, the legislative branch, the judicial branch, universities, community colleges, or private tenants.

(3) The MDTMB may receive and expend funds in addition to those authorized in part 1 for mail pickup and delivery services provided specifically to other principal executive departments and state agencies, the legislative branch, or the judicial branch.

(4) The MDTMB may receive and expend funds in addition to those authorized in part 1 for purchasing services provided specifically to other principal executive departments and state agencies, the legislative branch, or the judicial branch.

(5) Any revenue collected by the MDTMB from user fees under subsections (1) to (4) must be carried forward and does not lapse to the general fund at the close of the fiscal year.

Sec. 805. To the extent a specific appropriation is required for a detailed source of financing included in part 1 for the MDTMB appropriations financed from special revenue and internal service and pension trust funds, or SIGMA user charges, the specific amounts are appropriated within the special revenue internal service and pension trust funds in portions not to exceed the aggregate amount appropriated in part 1.

Sec. 807. Funding in part 1 for SIGMA must be funded by proportionate charges assessed against the respective state funds benefiting from the SIGMA project in the amounts determined by MDTMB.

Sec. 808. (1) A deposit against the IDG from building occupancy and parking charges appropriated in part 1 must be collected, in part, from state agencies, the legislative branch, and the judicial branch based on estimated costs associated with maintenance and operation of buildings managed by MDTMB. To the extent excess revenue is collected due to estimates of building occupancy charges exceeding actual costs, the excess revenue may be carried forward into subsequent fiscal years for the purpose of returning funds to state agencies.

(2) An appropriation in part 1 for building occupancy and parking charges may be increased to return excess revenue collected to state agencies.

Sec. 809. On a biannual basis, the MDTMB shall submit a report to the standard report recipients on any revisions either individually or in the aggregate that increase or decrease current contracts by more than $250,000.00 for computer software development, hardware acquisition, or quality assurance.

Sec. 810. (1) From the funds appropriated in part 1, the MDTMB shall maintain an internet website that contains notice of all solicitations, invitations for bids, and requests for proposals over $50,000.00 that are issued by the MDTMB or by any state agency operating under delegated authority, except for solicitations up to $500,000.00 in accordance with the MDTMB policy regarding providing opportunities to Michigan small businesses, geographically disadvantaged business enterprises, Michigan veteran-owned business, Michigan service disabled veteran-owned businesses, or Michigan recognized community rehabilitation organizations, or if the MDTMB determines and documents that it is in the best interest of this state. This information must appear on the first page of each department or state agency dashboard.

(2) The MDTMB shall set the due date for acceptance of an invitation for bid or request for proposal to not less than 14 days after the notice is made available on the internet website described in subsection (1), unless the MDTMB determines and documents that a different due date is in the best interest of this state.

(3) In addition to the requirements of this section, the MDTMB may advertise the solicitations, invitations for bids, and requests for proposals in any manner that the MDTMB determines is appropriate to give the greatest number of persons the opportunity to respond or make bids or requests for proposals.

(4) A new request for a proposal that is publicly displayed on the internet website must include the proposal's corresponding department or agency. The internet website must allow for the searching of requests for proposals by department or agency.

Sec. 811. From the funds appropriated in part 1, the MDTMB shall maintain a system that interfaces with other departments and agencies to track the performance of vendors in fulfilling contract obligations. The performance of these vendors must be recorded and used as a factor to determine future contracts awarded in the procurement process.

Sec. 812. Total authorized appropriations from all sources under part 1 for legacy costs for the fiscal year ending September 30, 2027 are estimated at $42,113,600.00. From this amount, total MDTMB appropriations for pension-related legacy costs are estimated at $42,113,600.00. Total MDTMB appropriations for retiree health care legacy costs are estimated at $0.00.

Sec. 813. (1) Funds in part 1 for motor vehicle fleet are appropriated to the MDTMB for administration and the acquisition, lease, operation, maintenance, repair, replacement, and disposal of state motor vehicles.

(2) The funds described in subsection (1) must be funded by revenue from rates charged to principal executive departments and agencies for utilizing vehicle travel services provided by the MDTMB. Any revenue in excess of the amount appropriated in part 1 from the motor transport fund and any unencumbered funds are restricted revenues and may be carried over into the succeeding fiscal year.

(3) The MDTMB shall, not later than 90 days after the close of the fiscal year, submit an annual report to the standard report recipients regarding the operation of the motor vehicle fleet. The report must include all of the following:

(a) The number of vehicles assigned to, or authorized for use by, state departments and agencies.

(b) The number of vehicles in the motor vehicle fleet.

(c) The number of miles driven by fleet vehicles.

(d) The number of gallons of fuel consumed by fleet vehicles.

(e) A description of fleet garage operations.

(f) The goods sold and services provided by the fleet garage.

(g) The number of employees assigned to each fleet garage.

(4) The information provided under subsection (3) may be adjusted during the fiscal year based on needs and cost savings to achieve the maximum value and efficiency from the state motor fleet.

(5) The MDTMB may charge state agencies for fuel cost increases that exceed 10% of the budgeted price per gallon of motor vehicle fuels. The MDTMB shall notify state agencies, in writing or by email, not less than 30 days before implementing additional charges for fuel cost increases. Any revenue received from these charges is appropriated on receipt.

(6) The state budget director, on notification to the senate and house of representatives standing committees on appropriations, may adjust spending authorization and the IDG from motor transport fund in the MDTMB to ensure that the appropriations for motor vehicle fleet in the MDTMB budget equal the expenditures for motor vehicle fleet in the budgets for all executive branch agencies.

Sec. 814. (1) From the funds appropriated in part 1 for motor vehicle fleet, the MDTMB shall prioritize vehicle options that minimize the total cost of ownership over the expected service life of the vehicle when obtaining, leasing, or replacing state motor vehicles. Criteria for assessing these options shall include, but not be limited to, cost projections for all of the following:

(a) Vehicle acquisition costs.

(b) Fuel costs.

(c) Energy use and associated costs.

(d) Maintenance and repair costs.

(e) Operational reliability.

(f) Resale or disposal value.

(2) To the extent practicable and consistent with operational needs, the MDTMB shall give preference to vehicle technologies that demonstrate lower long-term operating and maintenance costs and that reduce exposure to fuel price volatility.

Sec. 815. By November 1, the MDTMB shall submit a report to the standard report recipients on expenditures of funds appropriated in 2021 PA 87 for legal services funding and carried forward under work project account number 17458, titled "legal services". The report must itemize expenditures by case, purpose, and department involved and must include expenditures related to all previously appropriated funds including those expended in fiscal year 2025-2026.

Sec. 816. From the funds appropriated in part 1, the office of the state employer shall work with all state departments and agencies to set requirements on in-person work and utilization of state buildings to ensure in-person work completed by state of Michigan nonfield employees is optimized and the occupancy rate of state-owned or occupied buildings, subject to market conditions, is 80% or higher.

Sec. 820. The MDTMB shall post on its website and make available to the public a list of all parcels of real property owned by this state that are available for purchase.

Sec. 821. (1) From the funds appropriated in part 1, the office of retirement services within the MDTMB shall prepare a report by September 30 on the judges' retirement system, the military retirement system, the Michigan public school employees' retirement system, the state employees' retirement system, and the state police retirement system. The report must be submitted to the standard report recipients.

(2) The report must include, but is not limited to, all of the following information for each of the retirement systems described in subsection (1):

(a) A chart and table that details annual required contribution flow per year for fiscal year 2024-2025 and the subsequent 24 fiscal years.

(b) Separate annual required contribution payment charts and tables for pension and other postemployment benefits.

(c) Separate annual required contribution payment charts and tables for the current annualized rate of return, an annualized rate of return 50 basis points less than the current annualized rate of return, and an annualized rate of return 100 basis points less than the current annualized rate of return.

(d) Separate annual required contribution payment charts and tables by normal cost and unfunded actuarial accrued liability.

(e) A justification if the payroll growth assumption is maintained at or above 0% for any pension or OPEB plan. The report must include an analysis of active employee plan member forecasts.

(3) The report must include the following items specific to the Michigan public school employees' retirement system:

(a) A copy of the retirement plan election guide that is provided to new Michigan public school employees' retirement system hires as of the due date of the report.

(b) The number of new Michigan public school employees' retirement system employees who entered the defined contribution plan and pension plus II plan not later than 14 days after the end of the current fiscal year.

(c) An explanation of how the retirement plan election guide explains that pension plus II members must pay 50% of any future unfunded actuarial accrued liability payments.

(d) An explanation of how the retirement plan election guide explains that defined contribution plan members have annuity options that allow for guaranteed retirement income available through a private insurance company.

(e) If any calculations are provided to plan members for expected retirement income, then the following items must be included:

(*i*) An explanation of how the retirement plan election guide demonstrates a range of potential outcomes.

(*ii*) The underlying assumptions the retirement plan election guide uses to calculate expected future retirement income.

(*iii*) How underlying assumptions are disclosed in the guide.

(4) The report must include the amount of money that each school district received, on a per pupil basis, in foundation allowances that was spent on Michigan public school employees' retirement system costs in the immediately preceding fiscal year.

(5) The office of retirement services must post the most recent year's comprehensive annual financial report for each plan described in subsection (1) not later than 90 days after the end of the fiscal year.

Sec. 822. Not later than January 1, the MDTMB shall submit a report to the standard report recipients related to the salaries of unclassified employees and gubernatorial appointees within all state departments and agencies. The report must enumerate each unclassified employee and gubernatorial appointee and the employee's or appointee's annual salary rounded to the nearest thousand dollars.

Sec. 822c. The funds appropriated in part 1 must not be used to support any staff effort, projects, consultant expenses, or any other activity related to the development, financing, construction, operation, or implementation of the Gordie Howe International Crossing or any successor project unless the approval of the project is enacted into law.

Sec. 822d. Not later than December 31, the MDTMB shall submit a report to the standard report recipients that includes all of the following:

(a) The fee and rate schedules to be used by state departments and agencies for services, including information technology, provided by the MDTMB during the current fiscal year.

(b) The changes from fees and rates charged in the immediately preceding fiscal year.

(c) An explanation of the factors that justify each fee and rate increase described in subdivision (b).

Sec. 822e. (1) In addition to the funds appropriated in part 1, the funds collected by the MDTMB for supplying census-related information and technical services, publications, statistical studies, population projections and estimates, and other demographic products are appropriated for all expenses necessary to provide the required services. These funds are available for expenditure when they are received and may be carried forward into the next fiscal year.

(2) Not later than March 1, the MDTMB shall submit a report to the standard report recipients that provides the amount of revenue collected by the MDTMB from the authorization in subsection (1) and the amount of revenue carried forward.

Sec. 822f. Not later than 30 business days after the budget director notifies each member of the senate and house appropriations committees and fiscal agencies of work projects that the director has ordered to lapse for work projects W1101024, W1609023, W6660022, W666023, W6695022, and TW5090022 in accordance with section 451a(2) of the management and budget act, 1984 PA 431 MCL 18.1451a, $17,336,900 in general funds shall be appropriated to budget and financial management or statewide integrated government management application, as determined by the state budget director, in addition to the funds appropriated in part 1.

Sec. 822g. From the funds appropriated in part 1 for business support services, not more than an additional $200,000.00 may be used to continue a comprehensive supplier risk and information subscription used for the precontract risk assessment program.

Sec. 822h. (1) From the funds in part 1 for capital city services, the MDTMB shall provide reimbursements to the city of Lansing to provide support for local infrastructure and municipal services, including, but not limited to, maintenance or improvement of local roads, sidewalks, public utility infrastructure, emergency response, traffic management, or other public safety services that support the state capitol and adjacent state facilities.

(2) The MDTMB shall reimburse the city described in subsection (1) quarterly for eligible expenses if the city of Lansing provides supporting documentation related to the eligible expenses to the MDTMB and the eligible expenses are approved for reimbursement.

(3) The city of Lansing shall maintain and provide any supporting documentation that is requested for auditing purposes.

Sec. 822j. (1) The make it in Michigan competitiveness fund is created within the state treasury.

(2) Funds may be spent from the make it in Michigan competitiveness fund only on appropriation or administrative

transfer pursuant to subsection (3).

(3) A transfer of funds from federal or state restricted contingency funds into make it in Michigan may be made by the state budget director not less than 30 days after notifying each member of the senate and house appropriations committees. Those transfers may be disapproved by either appropriations committee within the 30 days and, if disapproved within that time, are not effective.

(4) A transfer approved under this section constitutes authorization to transfer the amount recommended and approved. However, the amount must be reduced by the state budget director to be within the current unobligated amount of the appropriation.

(5) Transfers must not be authorized under any of the following circumstances:

(a) To create a new line-item appropriation or to create a new state program.

(b) To or from an operating appropriation line item that did not appear in the fiscal year appropriation bills for which the transfer is being made.

(c) To or from a work project as designated under section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a.

(d) Between state governmental funds.

(6) Interest and earnings from the investment of funds deposited in the make it in Michigan competitiveness fund must be deposited in the general fund.

(7) Funds in the make it in Michigan competitiveness fund at the close of a fiscal year remain in the make it in Michigan competitiveness fund and do not lapse to the general fund.

(8) Funds appropriated or transferred from the make it in Michigan competitiveness fund are available to leverage federal

funding opportunities that include, but are not limited to, infrastructure, health, public safety, mobility and electrification, climate and the environment, economic development, or other funding opportunities administered by the federal government. Funding opportunities may be in the form of formula or competitive-based grants, cooperative agreements, or contracts, and may include funds contained in the infrastructure investment and jobs act, Public Law 117-58, the CHIPS act of 2022, division A of Public Law 117-167, the inflation reduction act of 2022, Public Law 117-169, or any other federal acts.

(9) The Michigan infrastructure office, in collaboration with the state budget director, shall form an interagency evaluation committee that includes the department of environment, Great Lakes, and energy, the MDLEO, the MDOT, the MSF, or other entities at the discretion of the Michigan infrastructure office, to develop program guidelines and selection criteria for the recommended appropriation or transfer of funds. The interagency evaluation committee shall make recommendations to the director of the MDTMB and the state budget director on the disbursement of funds. Funding must also be used to cover all costs related to the administration of this section.

(10) The MDTMB shall inform the legislature not later than 30 days after any federal funds are received that would be used as the basis for recommended appropriations or transfers from the make it in Michigan competitiveness fund.

(11) Not later than 90 days after the close of each fiscal year, the MDTMB shall report to the legislature on the projects funded with make it in Michigan competitiveness fund money.

MEMORIALS

Sec. 822k. The MDTMB may receive and expend funds from the Vietnam veterans memorial monument fund in accordance with the Michigan Vietnam veterans memorial act, 1988 PA 234, MCL 35.1051 to 35.1057. The funds are appropriated and allocated when received by the MDTMB and may be expended on receipt.

Sec. 822*l*. The Michigan veterans' memorial park commission may receive and expend money from any source, public or private, including, but not limited to, gifts, grants, donations of money, and government appropriations, for the purposes described in Executive Order No. 2001-10. The funds are appropriated and allocated when received by the Michigan veterans' memorial park commission and may be expended on receipt. Any deposit made under this section and any unencumbered funds are restricted revenues and may be carried over into subsequent fiscal years.

Sec. 822m. In addition to the funds appropriated in part 1, the MDTMB may receive and expend money from the Michigan law enforcement officers memorial monument fund in accordance with the Michigan law enforcement officers memorial act, 2004 PA 177, MCL 28.781 to 28.786. Any deposit made into the fund is restricted revenues and must be carried over into succeeding fiscal years.

INFORMATION TECHNOLOGY

Sec. 824. The MDTMB may enter into agreements to provide spatial information and technical services to other principal executive departments, state agencies, local units of government, and other organizations. The MDTMB may receive and expend funds in addition to those authorized in part 1 for providing information and technical services, publications, maps, and other products. The

MDTMB may expend amounts received for salaries, supplies, and equipment necessary to provide informational products and technical services.

Sec. 825. (1) The legislature shall have access to all historical and current data contained within SIGMA, or its predecessor, pertaining to state departments.

(2) State departments shall have access to all historical and current data contained within SIGMA or its predecessor.

Sec. 827. (1) The MDTMB shall assess all subscribers of the Michigan public safety communications system reasonable access and maintenance fees and deposit the fees in the Michigan public safety communications systems fees fund.

(2) All money received by the MDTMB under this section must be expended for the support and maintenance of the Michigan public safety communications system.

(3) Any deposits made under this section and unencumbered funds are restricted revenues and must be carried forward into succeeding fiscal years.

(4) The MDTMB shall prepare a report that indicates the amount of revenue collected under this section and expended for support and maintenance of the Michigan public safety communication system for the immediately preceding 6-month period. The report must be submitted to the standard report recipients not later than April 15.

Sec. 828. Not later than 45 days after the end of the current fiscal year, the MDTMB shall submit a report to the standard report recipients that includes both of the following:

(a) The estimated total amount of funding appropriated for information technology services and projects, by funding source, for all principal executive departments and agencies for the immediately preceding fiscal year.

(b) A listing of the expenditures made from the amounts received by the MDTMB as reported in subdivision (a).

Sec. 829. (1) The funds appropriated in part 1 for statewide integrated government management application must be used to maintain all existing financial reporting attributes and features of the statewide integrated government management application, including, but not limited to, the business intelligence reporting platform. All agency, department, and individual reports produced or executed within business intelligence as a part of the statewide integrated government management application as of September 30, 2026 must remain available and accessible to users.

(2) A notification of planned changes to the vendor or data structure of reports within the business intelligence reporting platform must be provided by the state budget office electronically to all statewide integrated government management application users not later than 60 business days before the implementation of any modifications. The notification must include the following:

(a) A brief description of the planned changes.

(b) A description of how the planned changes would improve accuracy, functionality, or user experience.

Sec. 830. (1) Any revenue collected from licenses issued under the antenna site management project shall be deposited in the antenna site management revolving fund created for this purpose in the MDTMB. The MDTMB may receive and expend money from the fund for costs associated with the antenna site management project, including the cost of a third-party site manager. Any excess revenue remaining in the fund at the close of the fiscal year must be proportionately transferred to the appropriate state restricted funds as designated in a PA or the state constitution of 1963.

(2) An antenna must not be placed on any site under this section without complying with the respective local zoning codes and local unit of government processes.

Sec. 831. If the MDTMB provides information technology services to a department or agency directly, the MDTMB shall submit a monthly invoice to the department or agency for the information technology services provided. If the MDTMB provides information technology services to a department or agency through a contracted vendor, the MDTMB shall submit an invoice to the department or agency not later than 60 days after the MDTMB receives approval to pay the vendor invoice.

Sec. 832. (1) The MDTMB shall inform the senate and house appropriations subcommittees on general government and the senate and house fiscal agencies not later than 30 days after learning of the proposal of a potential penalty proposed or the assessment of an actual penalty assessed by the federal government for failure of the Michigan child support enforcement system to achieve certification by the federal government.

(2) If a potential penalty is proposed by the federal government, the MDTMB shall submit a report to the standard report recipients not later than 90 days after the date the potential penalty is proposed specifying the MDTMB's plans to avoid the assessment of an actual penalty and ensure federal certification of the Michigan child support enforcement system.

Sec. 833. (1) The state budget director, on notification to the standard report recipients and the senate and house of representatives standing committees on appropriations, may adjust spending authorization and user fees in the MDTMB to ensure that the appropriations for information technology in the MDTMB equal the appropriations for information technology in the budgets for all executive branch agencies.

(2) If, during the fiscal year, a supplemental appropriation or transfer is made under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393, to or from an information technology line item in an agency budget, there is appropriated an equal amount of user fees in the MDTMB to accommodate an increase or decrease in spending authorization.

Sec. 835. The MDTMB shall provide a report to the standard report recipients on all new contracts for software development services that have a value greater than $10,000,000.00 or that are effective for a period longer than 3 years. The report must be submitted not later than January 15 and must cover the immediately preceding 12 months.

Sec. 837. All information technology projects funded by appropriations in part 1 must do both of the following:

(a) Use information technology project management best practices and services as defined or recommended by the enterprise portfolio management office of the MDTMB.

(b) Comply with the requirements of the state unified information technology environment methodology as it applies to all information technology project management processes.

STATE BUILDING AUTHORITY RENT

Sec. 842. (1) Funds appropriated in part 1 for state building authority rent may, in addition to this purpose, be expended for the payment of required premiums for insurance on facilities owned by the state building authority or payment of costs that may be incurred as the result of any deductible provisions in the applicable insurance policies.

(2) If the amount appropriated in part 1 for state building authority rent is not sufficient to pay the rent obligations and insurance premiums and deductibles identified in subsection (1) for state building authority projects, there is appropriated from the general fund of this state the amount necessary to pay the obligations.

OFFICE OF THE STATE EMPLOYER

Sec. 843. (1) The funds appropriated in part 1 for statewide appropriations must be funded by assessments against longevity and insurance appropriations throughout state government in a manner prescribed by the MDTMB. The funds must be used as specified in joint labor/management agreements, or through the coordinated compensation hearings process. Any deposits of assessments made under this subsection and any unencumbered funds are restricted revenues, may be carried over into the succeeding fiscal years, and are appropriated.

(2) In addition to the funds appropriated in part 1 for statewide appropriations, the MDTMB may receive and expend funds in the additional amounts specified in joint labor/management agreements, or through the coordinated compensation hearings process, in the same manner and subject to the same conditions as prescribed in subsection (1).

Sec. 844. In addition to the funds appropriated in part 1, the MDTMB may receive and expend funds from other principal executive departments and state agencies to implement administrative leave bank transfer provisions specified in joint labor/management agreements. The funds may also be transferred to other principal executive departments and state agencies under the joint labor/management agreement and any amounts transferred under the joint labor/management agreement are authorized for receipt and expenditure by the receiving principal executive department or state agency. Any funds received by the MDTMB under this section and intended, under the joint labor/management agreements, to be available for use beyond the close of the fiscal year, and any unencumbered funds, may be carried over into the next fiscal year.

CIVIL SERVICE COMMISSION

Sec. 850. (1) In accordance with section 5 of article XI of the state constitution of 1963, all restricted funds must be assessed a sum not less than 1% of the total aggregate payroll paid from those funds for financing the civil service commission on the basis of actual 1% restricted sources total aggregate payroll of the classified service for the preceding fiscal year. This includes, but is not limited to, restricted funds appropriated in part 1 of any appropriations act. The civil service commission shall return any unexpended funds appropriated under this subsection to each 1% fund source not later than 6 months after the end of the fiscal year.

(2) The appropriations in part 1 are estimates of actual charges based on payroll appropriations. With the approval of the state budget director, the civil service commission may adjust financing sources for civil service charges based on actual payroll expenditures, if the adjustments do not increase the total appropriation for the civil service commission.

(3) The financing from restricted sources must be credited to the civil service commission by the end of the second fiscal quarter.

Sec. 851. Except where specifically appropriated for this purpose, financing from restricted sources must be credited to the civil service commission. For restricted sources of funding within the general fund that have the legislative authority for carryover, if current spending authorization or revenues are insufficient to accept the charge, the shortage must be taken from carryforward balances of that funding source. Restricted revenue sources that do not have carryforward authority must be utilized to satisfy civil service commission operating deductions first and civil service commission obligations second. General fund dollars are appropriated for any shortfall, if approved by the state budget director.

Sec. 852. The appropriation in part 1 to the civil service commission, for state-sponsored group insurance, flexible spending accounts, and COBRA, represents amounts, in part, included within the various appropriations throughout state government for the current fiscal year to fund the flexible spending account program included within the civil service commission. Deposits against state-sponsored group insurance, flexible spending accounts, and COBRA for the flexible spending account program must be made from assessments levied during the fiscal year in a manner prescribed by the civil service commission. Unspent employee contributions to the flexible spending accounts may be used to offset administrative costs for the flexible spending account program, and any remaining balance of unspent employee contributions lapses to the general fund.

CAPITAL OUTLAY

Sec. 860. As used in sections 861 through 875 of this part:

(a) "Board" means the state administrative board created in section 1 of 1921 PA 2, MCL 17.1.

(b) "Community college" means a community college organized under the community college act of 1966, 1966 PA 331, MCL 389.1 to 389.195, or under part 25 of the revised school code, 1976 PA 451, MCL 380.1601 to 380.1607, and does not include a state agency or university.

(c) "Director" means the director of the MDTMB.

(d) "State agency" means an agency of state government. State agency does not include a community college or university.

(e) "State building authority" means the authority created in section 2 of 1964 PA 183, MCL 830.412.

(f) "University" means a 4-year university supported by this state. University does not include a community college or a state agency.

Sec. 861. Each capital outlay project authorized in this part and part 1 or any previous capital outlay act shall comply with the procedures required by the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594.

Sec. 862. (1) The MDTMB shall submit a report to the standard report recipients and the JCOS on the status of each planning or construction project financed by the state building authority, this part and part 1, or a previous PA.

(2) Before the end of the fiscal year, the MDTMB shall submit a report to the standard report recipients and the JCOS for each capital outlay project other than lump sums that includes all of

the following:

(a) The account number and name of each construction project.

(b) The balance remaining in each account.

(c) The date of the last expenditure from the account.

(d) The anticipated date of occupancy if the project is under construction.

(e) The appropriations history for the project.

(f) The professional service contractor.

(g) The amount of the project financed with federal funds.

(h) The amount of the project financed through the state building authority.

(i) The total authorized cost for the project and the state authorized share if different than the total.

(3) Before the end of the fiscal year, the MDTMB shall submit a report to the standard report recipients and the JCOS on all of the following for each project by a state agency, university, or community college that is authorized for planning but is not yet authorized for construction:

(a) The name of the project and account number.

(b) Whether a program statement is approved.

(c) Whether schematics are approved by the MDTMB.

(d) Whether preliminary plans are approved by the MDTMB.

(e) The name of the professional service contractor.

(4) As used in this section, "project" includes appropriation line items made for purchase of real estate.

Sec. 863. The MDTMB shall work with all state departments and agencies to evaluate their current office building and space usage to identify any projected changes for the current and next fiscal year. The MDTMB shall report the following information to the standard report recipients not later than May 1:

(a) Projected changes in state-owned property being utilized by each department and agency for the current and next fiscal year.

(b) Projected changes to leased property being utilized by each department and agency for the current and next fiscal year.

(c) A comparative analysis of 2022 occupancy levels to expected levels for the current and next fiscal year.

(d) All of the following information for the immediately preceding fiscal year:

(*i*) A list of expenditures related to space optimization as a result of remote work, including costs associated with divesting state-owned property and vacating leased facilities.

(*ii*) Net savings as a result of property divestment or vacated leased facilities.

(*iii*) A description of each divested property or location of each vacated leased facility.

Sec. 864. The appropriations in part 1 for capital outlay must be carried forward at the end of the fiscal year in accordance with section 248 of the management and budget act, 1984 PA 431, MCL 18.1248.

Sec. 865. (1) A site preparation economic development fund is created in the MDTMB. The MEDC board and the state budget director shall determine whether a specific state-owned site qualifies for inclusion in the site preparation economic development fund.

(2) Any proceeds from the sale of an economic development site must be deposited in the site preparation economic development fund and are available for site preparation expenditures, unless otherwise provided by law. The economic development sites are authorized for sale consistent with state law. Expenditures from

the site preparation economic development fund are authorized for site preparation activities that enhance the marketable sale value of the economic development sites.

(3) A cash advance in an amount of not more than $25,000,000.00 is authorized from the general fund to the site preparation economic development fund.

(4) Not later than December 31, the MDTMB shall submit a report to the standard report recipients and the senate and house of representatives standing committees on appropriations that includes both of the following:

(a) The revenue and expenditure activity in the site preparation economic development fund for the immediately preceding fiscal year.

(b) The sites identified as economic development sites.

(5) As used in this section:

(a) "Economic development site" means a state-owned site that is declared as surplus property under section 251 of the management and budget act, 1984 PA 431, MCL 18.1251, and would provide economic benefit to the area of the site or to this state.

(b) "Site preparation activities" includes, but is not limited to, demolition, environmental studies and abatement, utility enhancement, and site excavation.

Sec. 866. (1) The energy efficiency revolving fund is created within the state treasury. The state treasurer may receive money or other assets from any source for deposit into the energy efficiency revolving fund. The state treasurer shall direct the investment of the energy efficiency revolving fund. The state treasurer shall credit to the energy efficiency revolving fund interest and earnings from energy efficiency revolving fund investments.

(2) Money in the energy efficiency revolving fund at the close of the fiscal year remains in the energy efficiency revolving fund and does not lapse to the general fund.

(3) The MDTMB shall provide oversight and direction for the energy efficiency revolving fund, coordinate a call for projects, and prioritize the award of projects that will contribute to a reduction in this state's carbon footprint. State administrative costs must be not more than 10% of the total project cost.

(4) The MDTMB shall set terms with agencies participating in the energy efficiency revolving fund program that include the scope of each project, funding commitments, data collection and reporting requirements, and any other financial terms related to realization of energy savings related to implementation of the project. The MDTMB may enter into a memorandum of understanding to memorialize these terms.

(5) Not later than February 1, the MDTMB shall submit a report to the standard report recipients on projects funded under this section in the immediately preceding fiscal year. The report must list each approved project, the amount provided from the energy efficiency revolving fund for each project, the department or agency under which the project belongs, anticipated annual savings from each project, and revenue from savings deposited into the energy efficiency revolving fund by project.

Sec. 867. In addition to the appropriations for special maintenance, remodeling, and additions for state agencies in part 1, there is appropriated related federal and state restricted funds up to the amounts that will be earned based upon the initiatives undertaken with the funds in part 1. The state budget director shall determine and authorize the appropriate manner for implementing this section.

CAPITAL OUTLAY - UNIVERSITIES AND COMMUNITY COLLEGES

Sec. 873. (1) This section applies only to projects for community colleges.

(2) State support is directed towards the remodeling and additions, special maintenance, or construction of certain community college buildings. The community college shall obtain or provide for site acquisition and initial main utility installation to operate the facility. The funding must be composed of local and state shares and not more than 50% of a capital outlay project, not including a lump-sum special maintenance project or remodeling and addition project, for a community college may be appropriated from state and federal funds, unless otherwise appropriated by the legislature.

(3) An expenditure under this part and part 1 is authorized when the release of the appropriation is approved by the board on the recommendation of the director. The director may recommend to the board the release of any appropriation in part 1 only after the director is assured that the legal entity operating the community college to which the appropriation is made has complied with this part and part 1 and has matched the amounts appropriated as required by this part and part 1. A release of funds in part 1 must not exceed 50% of the total cost of planning and construction of any project, not including lump-sum remodeling and additions and special maintenance, unless otherwise appropriated by the legislature. Further planning and construction of a project authorized by this part and part 1 or applicable sections of the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594,

must be in accordance with the purpose and scope as defined and delineated in the approved program statements and planning documents. This part and part 1 are applicable to all projects for which planning appropriations were made in previous PAs.

(4) The community college shall take the steps necessary to secure available federal construction and equipment money for projects funded for construction in this part and part 1 if an application was not previously made. If there is a reasonable expectation that a previous year unfunded application may receive federal money in a subsequent year, the community college shall take whatever action necessary to keep the application active.

Sec. 874. If university and community college matching revenues are received in an amount less than the appropriations for capital projects contained in this part and part 1, the state funds must be reduced in proportion to the amount of matching revenue received.

Sec. 875. (1) The director may require that community colleges and universities that have an authorized project described in part 1 submit documentation regarding the project match and governing board approval of the authorized project not more than 60 days after the beginning of the fiscal year.

(2) If the documentation required by the director under subsection (1) is not submitted, or does not adequately authenticate the availability of the project match or governing board approval of the authorized project, the director may terminate the authorization. The authorization terminates 30 days after the director notifies the JCOS of the intent to terminate the project unless the JCOS approves an extension of the authorization.

DEPARTMENT OF TREASURY

OPERATIONS

Sec. 901. (1) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $500,000.00 for federal contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(2) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $10,000,000.00 for state restricted contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(3) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $100,000.00 for local contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(4) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $20,000.00 for private contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

Sec. 902. (1) Amounts needed to pay for interest, fees, principal, mandatory and optional redemptions, arbitrage rebates as required by federal law, and costs associated with the payment, registration, trustee services, credit enhancements, and issuing costs in excess of the amount appropriated to the department of treasury in part 1 for debt service on notes and bonds that are issued by this state under sections 14, 15, or 16 of article IX of the state constitution of 1963, as implemented by 1967 PA 266, MCL 17.451 to 17.455, are appropriated.

(2) In addition to the amount appropriated to the department of treasury for debt service in part 1, there is appropriated an amount for fiscal year cash-flow borrowing costs to pay for interest on interfund borrowing authorized under 1967 PA 55, MCL 12.51 to 12.53.

(3) In addition to the amount appropriated to the department of treasury for debt service in part 1, all repayments received by this state on loans made from the school bond loan fund that the state treasurer determines are not required to be deposited in the school loan revolving fund under section 4 of 1961 PA 112, MCL 388.984, are appropriated to the department of treasury for the payment of debt service, including, but not limited to, optional and mandatory redemptions, on bonds, notes, or commercial paper issued by this state under 1961 PA 112, MCL 388.981 to 388.985.

Sec. 902a. As a condition of receiving the appropriations in part 1, not later than 30 days after a refunding or restructuring bond issue is sold, the department of treasury must submit a report to the standard report recipients and the senate and house of representatives standing committees on appropriations. The report must include all of the following:

(a) A comparison of the annual debt service before the refinancing or restructuring to the annual debt service after the refinancing or restructuring.

(b) The change in the principal and interest over the duration of the debt.

(c) The projected change in the present value of the debt service as a result of the refinancing and restructuring.

Sec. 902b. As a condition of receiving the appropriations in part 1, not later than 30 days after the state of Michigan comprehensive annual financial report under section 494 of the management and budget act, 1984 PA 431, MCL 18.1494, is published, the department of treasury shall submit a report to the standard report recipients on all funds that are controlled or administered by the department of treasury and not appropriated in part 1. The current and all previous reports prepared as required under this section must be saved and made available on the department of treasury's public website and stored in a common location with all other reports that the department of treasury is required by law to prepare. The link to the location of the reports must be clearly indicated on the main page of the department of treasury's internet website. The report must include all of the following information for each fund for the immediately preceding fiscal year:

(a) The starting balance.

(b) Total revenue generated by transfers in and investments.

(c) Total expenditures.

(d) The ending balance.

Sec. 903. (1) From the funds appropriated in part 1, the department of treasury may contract for services to support collection of taxes and other accounts due this state or due a city for which the department of treasury has entered into an agreement to provide tax administration services. In addition to the amounts appropriated in part 1 to the department of treasury, there are appropriated amounts necessary to fund the cost of these collections, including infrastructure costs. The additional amounts appropriated under this subsection must not exceed 25% of the collections or 2.5% plus operating costs, as applicable. Each contract must prescribe the applicable amount. The amounts appropriated to fund collection costs and fees under this subsection are appropriated from the fund or account to which the corresponding taxes and other accounts being collected are recorded or dedicated. However, if the taxes and other accounts collected are dedicated for a specific purpose under the state constitution of 1963, the amounts appropriated under this subsection are appropriated from the general purpose account of the general fund.

(2) From the funds appropriated in part 1, the department of treasury may contract for services to collect defaulted student loans and other accounts due the Michigan guaranty agency. In addition to the amounts appropriated in part 1 to the department of treasury, there are appropriated amounts necessary to fund collection costs and fees not to exceed 24.34% of the collection or a lesser amount as prescribed by the contract. The amounts appropriated under this subsection are appropriated from the fund or account to which the revenues being collected are recorded or dedicated.

(3) By November 30, the department of treasury shall submit a report to the standard report recipients and the senate and house of representatives standing committees on appropriations. The report must include all of the following information for the immediately preceding fiscal year:

(a) The name of each entity that the department of treasury contracted with under subsection (1) or (2).

(b) The amount collected under each contract.

(c) The costs of collection under each contract.

(d) Any other information that is pertinent to determining whether the authority described in subsection (1) or (2) should be continued.

Sec. 904. (1) The bureau of investments of the department of treasury may charge an investment service fee against the applicable retirement funds. The revenue from the investment service fees charged under this subsection may be expended for necessary salaries, wages, contractual services, supplies, materials, equipment, travel, worker's compensation insurance premiums, and grants to the civil service commission retirement fund and the state employees' retirement fund. If the bureau of investments of the department of treasury charges a total amount of investment service fees under this subsection that is greater than the aggregate amount appropriated in part 1, the bureau of investments of the department of treasury shall periodically repay the surplus revenue to the applicable retirement funds. The department of treasury shall maintain accounting records in sufficient detail to enable repayment under this subsection.

(2) In addition to the funds appropriated in part 1 from the retirement funds to the department of treasury, there is appropriated from retirement funds an amount sufficient to pay for the services of money managers, investment advisors, investment consultants, custodians, or other outside professionals that the state treasurer considers necessary to prudently manage the retirement funds' investment portfolios. The state treasurer shall submit an annual report to the standard report recipients and the senate and house of representatives standing committees on

appropriations regarding the performance of each portfolio delineated by investment advisor.

(3) Not later than November 30, the department of treasury shall submit a report to the standard report recipients that identifies the service fees assessed against each retirement system under subsection (1) and the methodology used for assessment.

Sec. 904a. (1) There is appropriated an amount sufficient to recognize and pay expenditures for financial services provided by financial institutions or equivalent vendors that perform these financial services, including the department of treasury, as provided under section 1 of 1861 PA 111, MCL 21.181.

(2) The appropriations under subsection (1) must be funded by restricting revenues from common cash interest earnings and investment earnings in an amount sufficient to cover these expenditures. If the amounts of common cash interest earnings are insufficient to cover these expenditures, miscellaneous revenues must be used to fund the remaining balance of these expenditures.

Sec. 905. The municipal finance fee fund is created in the department of treasury as a revolving fund. The department of treasury shall deposit the fees that the department of treasury collects under the revised municipal finance act, 2001 PA 34, MCL 141.2101 to 141.2821, into the municipal finance fee fund. The money in the fund at the end of the fiscal year may be carried forward for future appropriation.

Sec. 906. (1) The department of treasury shall charge for audits as allowed under state or federal law or under a contract between the department of treasury and a local unit of government, other principal executive department, or state agency. However, the department of treasury shall not charge more than the actual cost for performing the audit. Not later than November 30, the department of treasury shall submit a report to the standard report recipients that includes details of the audits performed and audit charges for the immediately preceding fiscal year.

(2) The audit charges fund is created in the department of treasury as a revolving fund. The department of treasury shall deposit the contractual charges collected under subsection (1) into the audit charges fund. The money in the fund at the end of the fiscal year may be carried forward for future appropriation.

Sec. 907. (1) The department of treasury shall create and operate a property assessor certification and training program. The purpose of the program is to offer courses in assessment administration.

(2) The assessor certification and training fund is created in the department of treasury as a revolving fund. The department of treasury shall use the money in the assessor certification and training fund to create and operate the property assessor certification and training program described in subsection (1).

(3) Each participant in the program shall pay to the department of treasury an examination fee not to exceed $50.00 per examination and a certification fee not to exceed $175.00. In addition, each participant shall pay a fee to cover the expenses incurred in offering the program to certified assessing personnel and other individuals interested in an assessment career opportunity. The department of treasury shall deposit the fees collected under this subsection into the property assessor certification and training program fund.

Sec. 908. The amount appropriated in part 1 for the home heating assistance program is to cover the costs, including data processing, of administering federal home heating credits to eligible claimants and of administering the supplemental fuel cost payment program for eligible tax credit and welfare recipients.

Sec. 909. Revenue from the airport parking tax act, 1987 PA 248, MCL 207.371 to 207.383, is appropriated and must be distributed in accordance with section 7a of the airport parking tax act, 1987 PA 248, MCL 207.377a.

Sec. 910. The disbursement by the department of treasury from the bottle deposit fund to dealers as required by section 3c(3) of 1976 IL 1, MCL 445.573c, is appropriated.

Sec. 911. (1) There is appropriated an amount sufficient to recognize and pay refundable tax credits, tax refunds, and interest as provided by law.

(2) The appropriations under subsection (1) must be funded by restricting tax revenue in an amount sufficient to cover these expenditures.

Sec. 912. A plaintiff in a garnishment action involving this state shall pay to the state treasurer 1 of the following:

(a) A fee of $6.00 at the time a writ of garnishment of periodic payments is served on the state treasurer, as provided in section 4012 of the revised judicature act of 1961, 1961 PA 236, MCL 600.4012.

(b) A fee of $6.00 at the time any other writ of garnishment is served on the state treasurer. However, the fee must be reduced to $5.00 for each writ of garnishment for individual income tax refunds or credits that is filed electronically.

Sec. 913. (1) The department of treasury may contract with private firms to appraise and, if necessary, appeal the assessments of senior citizen cooperative housing units. Payment for this service must be made from the savings that result from the appraisal or appeal process being conducted by private firms.

(2) The department of treasury may use a portion of the funds appropriated in part 1 for the senior citizen cooperative housing tax exemption program for an audit of the program. The department of treasury shall submit copies of any completed audit report to the standard report recipients. The department of treasury may use not more than 1% of the funds for administering and auditing the program.

Sec. 914. The department of treasury may provide a $200.00 annual prize from the Ehlers internship award account in the gifts, bequests, and deposit fund to the runner-up of the Rosenthal prize for interns. The Ehlers internship award account is interest bearing.

Sec. 915. As required under section 61 of the Michigan campaign finance act, 1976 PA 388, MCL 169.261, there is appropriated from the general fund to the state campaign fund an amount equal to the amounts designated for the 2023 tax year. Except as otherwise provided in this section, the amount appropriated does not revert to the general fund and remains in the state campaign fund. Any amount that remains in the state campaign fund in excess of $10,000,000.00 on December 31 reverts to the general fund.

Sec. 916. (1) The department of treasury may make available to an interested entity a customized list of otherwise unavailable nonconfidential information regarding unclaimed property that is in the department of treasury's possession. The department of treasury shall charge for this information as follows:

(a) For 1 to 100,000 records, 2.5 cents per record.

(b) For 100,001 or more records, 0.5 cents per record.

(2) The revenue received under subsection (1) must be deposited in the revenue account or fund that is associated with the applicable unclaimed property.

(3) Not later than June 1, the department of treasury shall submit a report to the standard report recipients and the senate and house of representatives standing committees on appropriations that states the amount of revenue received from the sale of the information under this section.

Sec. 917. (1) There is appropriated for write-offs and advances an amount equal to total write-offs and advances for departmental programs. The amount appropriated under this subsection must not exceed current year authorizations that would otherwise lapse to the general fund.

(2) Not later than 30 days after the annual comprehensive financial report is published, the department of treasury shall submit a report to the standard report recipients. The report must include all of the following information for the immediately preceding fiscal year:

(a) The amounts appropriated for write-offs and advances under subsection (1).

(b) An explanation for each write-off or advance under subsection (1).

Sec. 919. (1) From funds appropriated in part 1, the department of treasury may contract with private auditing firms to audit for and collect unclaimed property due this state in accordance with the uniform unclaimed property act, 1995 PA 29, MCL 567.221 to 567.265. In addition to the amounts appropriated in part 1 to the department of treasury, there are appropriated amounts necessary to fund auditing and collection costs and fees not to exceed 12% of the collections or a lesser amount as prescribed by the applicable contract. The appropriation to fund collection costs and fees for the auditing and collection of unclaimed property due this state is from the fund or account to which the revenues being collected are recorded or dedicated.

(2) Not later than November 30, the department of treasury shall submit a report to the standard report recipients and the senate and house of representatives standing committees on appropriations. The report must include all of the following information for the immediately preceding fiscal year:

(a) The name of each auditing firm that the department of treasury contracted with under subsection (1).

(b) The amount collected by each of the auditing firms.

(c) The costs of collection.

(d) Any other information that is pertinent to determining whether the authority under subsection (1) should be continued.

Sec. 920. Not later than June 30, from the funds appropriated in part 1, the department of treasury shall do both of the following:

(a) Produce a list of all personal property tax reimbursement payments to be distributed in the current fiscal year by the local community stabilization authority.

(b) Post the list produced under subdivision (a) on the department of treasury's public website.

Sec. 921. From the funds appropriated in part 1, the department of treasury shall, for each revenue administrative bulletin, administrative rule that involves tax administration or collection, and notice interpreting a change in law, submit a notification to every member of the legislature. The department of treasury shall submit the notification not later than 3 days after the department of treasury posts the notification. Each notification must include all of the following:

(a) A summary of the proposed changes from current procedures.

(b) Identification of industries that will or might be affected by the bulletin, rule, or notice.

(c) A statement of the potential fiscal implications of the bulletin, rule, or notice. This subdivision does not apply to a bulletin, rule, or notice that is a routine update of a tax or interest rate required by statute.

(d) A summary of the reason for the proposed change.

Sec. 924. (1) In addition to the funds appropriated in part 1, the department of treasury may receive and expend principal residence audit fund revenue for administration of principal residence audits under the general property tax act, 1893 PA 206, MCL 211.1 to 211.155.

(2) Not later than December 31, the department of treasury shall submit a report to the standard report recipients that includes the amount of exemptions denied and the revenue received under the program described in subsection (1) for the immediately preceding fiscal year.

Sec. 927. The department of treasury shall submit a progress report regarding essential service assessment audits to the standard report recipients. The report must include all of the following:

(a) The number of audits.

(b) The revenue generated from the audits.

(c) The number of complaints received by the department of treasury related to the audits.

Sec. 928. The department of treasury may provide receipt, check and cash processing, data, collection, investment, fiscal agent, levy and check cost assessment, writ of garnishment, and other user services on a contractual basis for other principal executive departments and state agencies. Funds for the services provided are appropriated and must be expended for salaries, wages, fees, supplies, and equipment necessary to provide the services. Money in the fund that is unobligated at the end of the fiscal year lapses to the general fund.

Sec. 930. (1) The department of treasury shall provide accounts receivable collections services to other principal executive departments and state agencies in accordance with 1927 PA 375, MCL 14.131 to 14.134, or to a city with which the department of treasury has contracted to provide tax administration services. The department of treasury shall deduct a fee equal to the cost of collections from all receipts except for unrestricted general fund collections. Fees must be credited to a restricted revenue account and are appropriated to the department of treasury to pay for the cost of collections. If the department of treasury deducts fees under this subsection that total an amount that is greater than the actual cost of the collections, the department of treasury shall periodically repay the surplus to the respective account. The department of treasury shall maintain accounting records in sufficient detail to enable repayment under this subsection.

(2) Not later than November 30, the department of treasury shall submit a report to the standard report recipients that includes the following information regarding subsection (1) for the immediately preceding fiscal year:

(a) The principal executive departments and state agencies served.

(b) The funds collected.

(c) The costs of collection.

Sec. 931. (1) Except as otherwise provided in this subsection, the appropriation in part 1 to the department of treasury for treasury fees must be assessed against all restricted funds that receive common cash earnings or other investment income. This subsection does not apply to federal or state restricted funds that are temporary in nature or otherwise do not qualify to be assessed treasury fees. The fee assessed against each restricted fund must be based on the size of the restricted fund, calculated as the absolute value of the average daily cash balance plus the market value of investments in the immediately preceding fiscal year, and the level of resources necessary to maintain the restricted fund as required by each department. Not later than November 30, the department of treasury shall submit a report to the standard report recipients that identifies the fees assessed against each restricted fund and the methodology used for the assessment.

(2) In addition to the funds appropriated in part 1, the department of treasury may receive and expend investment fees that are related to new restricted funding sources that participate in common cash earnings or other investment income during the current fiscal year.

(3) As used in this section, "treasury fees" includes all costs, including administrative overhead, that are related to the investment of a restricted fund.

Sec. 932. The board of directors of the Michigan education trust may expend revenue received under the Michigan education trust act, 1986 PA 316, MCL 390.1421 to 390.1442, for necessary salaries, wages, supplies, contractual services, equipment, worker's compensation insurance premiums, and grants to the civil service commission retirement fund and the state employees' retirement fund.

Sec. 934. (1) The department of treasury may expend revenues received under the hospital finance authority act, 1969 PA 38, MCL 331.31 to 331.84, the shared credit rating act, 1985 PA 227, MCL 141.1051 to 141.1076, the higher education facilities authority act, 1969 PA 295, MCL 390.921 to 390.934, the Michigan public educational facilities authority, Executive Reorganization Order No. 2002-3, MCL 12.192, the Michigan tobacco settlement finance authority act, 2005 PA 226, MCL 129.261 to 129.279, the land bank fast track act, 2003 PA 258, MCL 124.751 to 124.774, part 505 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.50501 to 324.50522, the state housing development authority act of 1966, 1966 PA 346, MCL 125.1401 to 125.1499c, and the MFA, Executive Reorganization Order No. 2010-2, MCL 12.194, for necessary salaries, wages, supplies, contractual services, equipment, worker's compensation insurance premiums, grants to the civil service commission retirement fund and the state employees' retirement fund, and other expenses as allowed under those acts or executive reorganization orders.

(2) Not later than January 31, the department of treasury shall submit a report to the standard report recipients that includes both of the following for the immediately preceding fiscal year:

(a) The amount and purpose of expenditures of $250,000.00 or more that are made under subsection (1) from funds received by the department of treasury that are in addition to those appropriated in part 1.

(b) A list of reimbursement of revenue, if any.

Sec. 935. The position of student loan ombudsman is created in the department of treasury's advocacy services team. The student loan ombudsman serves as an advocate for borrowers and shall work with the financial resource navigator within the department of lifelong education, advancement, and potential to provide technical assistance to individuals taking out or paying off student loans.

Sec. 936. Revenue collected in the state forensic laboratory fund is appropriated and shall be distributed in accordance with section 7 of the forensic laboratory funding act, 1994 PA 35, MCL 12.207.

Sec. 937. As a condition of receiving funds in part 1, not later than March 31, the department of treasury shall submit a report to the standard report recipients and the senate and house standing committees on appropriations regarding the department of treasury's collection efforts for delinquent accounts. The report must include all of the following:

(a) Information regarding the effectiveness of the department of treasury's current collection strategies, including the use of vendors or contractors.

(b) The amount of delinquent accounts.

(c) The liquidation rates for declining delinquent accounts.

(d) The profile of uncollected delinquent accounts, including specific uncollected amounts by category.

(e) The department of treasury's strategy to manage delinquent accounts when those accounts exceed the collectible period.

(f) A summary of the strategies used in other states, including, but not limited to, secondary placement services, and assessing the benefits of those strategies.

Sec. 938. Revenue collected in the qualified heavy equipment rental personal property exemption reimbursement fund is appropriated and must be distributed in accordance with section 9 of the qualified heavy equipment rental personal property specific tax act, 2022 PA 35, MCL 211.1129.

Sec. 939. Revenue deposited in the local government reimbursement fund is appropriated and must be distributed in accordance with section 3a of the Michigan trust fund act, 2000 PA 489, MCL 12.253a.

Sec. 940. (1) The election administration support fund is created in the state treasury.

(2) Any unexpended funds in the election administration support fund must be carried forward and are available for expenditure under this section.

(3) Funds may be spent from the election administration support fund only on appropriation, or legislative transfer pursuant to section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(4) The state treasurer may receive money or other assets from any source for deposit in the election administration support fund. The state treasurer shall direct the investment of the election administration support fund. The state treasurer shall credit to the election administration support fund interest and earnings from the election administration support fund.

(5) Funds in the election administration support fund at the close of the fiscal year remain in the election administration support fund and do not lapse to the general fund.

(6) Funds appropriated in part 1 for election administration support fund must be deposited in the election administration support fund.

Sec. 941. (1) Not later than November 1, from the funds appropriated in part 1, the department of treasury, in conjunction with the MSF, shall submit a report to the standard report recipients and the senate and house of representatives standing committees on appropriations on the annual cost of the MEGA tax credits. The report must include, for each year from 1995 to the expiration of the MEGA tax credit program, the board-approved credit amount, adjusted for credit amendments if applicable, and the actual and projected value of tax credits. For years for which credit claims are complete, the report must include the total of actual certificated credit amounts. For years for which claims are still pending or not yet submitted, the report must include a combination of actual credits if available and projected credits. Credit projections must be based on updated estimates of employees, wages, and benefits for eligible companies.

(2) In addition to the report under subsection (1), not later than November 1, the department of treasury, in conjunction with the MSF, shall submit a report to the standard report recipients and the senate and house of representatives standing committees on appropriations on the annual cost of all other certificated credits by program for each year until the credits expire or can no longer be collected. The report must include estimates on the brownfield redevelopment credit, film credits, MEGA photovoltaic technology credit, MEGA polycrystalline silicon manufacturing credit, MEGA vehicle battery credit, and other certificated credits.

Sec. 944. From the funds appropriated in part 1, if the department of treasury hires a pension plan consultant using any of the funds appropriated in part 1, the department of treasury shall do all of the following:

(a) Retain each report provided to the department of treasury by that consultant.

(b) Notify the standard report recipients that the department of treasury has hired a pension plan consultant, including the reason why the department of treasury hired the pension plan consultant.

(c) Make a report described in subdivision (a) available to a standard report recipient if requested by the standard report recipient.

Sec. 945. From the funds appropriated in part 1, audits of local unit assessment administration practices, procedures, and records must be conducted in each assessment jurisdiction a minimum of 1 time every 5 years and in accordance with section 10g of the general property tax act, 1893 PA 206, MCL 211.10g.

Sec. 946. Revenue collected in the convention facility development fund is appropriated and must be distributed in accordance with sections 8, 9, and 10 of the state convention facility development act, 1985 PA 106, MCL 207.628, 207.629, and 207.630.

Sec. 947. It is the intent of the legislature that financial independence teams cooperate with the financial responsibility section to coordinate and streamline efforts in identifying and addressing fiscal emergencies in school districts and intermediate school districts.

Sec. 948. Total authorized appropriations from all sources under part 1 for legacy costs for the fiscal year ending September

30, 2027 are estimated at $22,584,500.00. From this amount, total department of treasury appropriations for pension-related legacy costs are estimated at $22,584,500.00. Total department of treasury appropriations for retiree health care legacy costs are estimated at $0.00.

Sec. 949. (1) From the funds appropriated in part 1, the department of treasury may contract with private agencies to prevent the disbursement of fraudulent tax refunds. In addition to the amounts appropriated in part 1 to the department of treasury, there are appropriated amounts necessary to pay the costs of the contracts or to fund operations designed to reduce fraudulent income tax refund payments. The additional amount appropriated under this subsection must not be greater than $2,000,000.00. The appropriation to fund fraud prevention efforts under this subsection is from the fund or account to which the revenues being collected are recorded or dedicated.

(2) Not later than November 30, the department of treasury shall submit a report to the standard report recipients and the senate and house of representatives standing committees on appropriations. The report must include all of the following for the immediately preceding fiscal year:

(a) The number of refund claims denied because of the fraud prevention operations.

(b) The amount of refunds denied.

(c) The costs of the fraud prevention operations.

(d) Any other information that is pertinent to determining whether the authority under subsection (1) should be continued.

Sec. 949a. From the funds appropriated in part 1 for city income tax administration program, the department of treasury may expand its individual income tax administration for any additional cities that enter into service-level agreements with the department of treasury for this purpose. In addition to the funds appropriated in part 1, any additional local funds received as part of the service-level agreements are appropriated to the department for staffing and administration of the program.

Sec. 949b. Tax capture revenues collected in accordance with written agreements under the good jobs for Michigan program and transferred from the general fund for deposit into the good jobs for Michigan fund, including tax capture revenues collected for calculated payments from the good jobs for Michigan fund to authorized businesses and distributions to the MSF for administrative expenses, are appropriated in accordance with chapter 8D of the Michigan strategic fund act, 1984 PA 270, MCL 125.2090g to 125.2090j.

Sec. 949c. From the funds appropriated in part 1, funds must be expended in coordination with the department of agriculture and rural development to improve the timely processing and issuance of tax credits from the Michigan's farmland and open space preservation program created under section 36109 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.36109, for the Michigan's farmland and open space preservation program under parts 361 and 362 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.36101 to 324.36116 and 324.36201 to 324.36207.

Sec. 949d. (1) From the funds appropriated in part 1 for financial review commission, the department of treasury shall continue financial review commission efforts in the current fiscal year. The purpose of the funding is to cover ongoing costs associated with the operation of the commission.

(2) The department of treasury shall identify specific outcomes and performance measures for this initiative, including, but not limited to, the department of treasury's ability to perform a critical fiscal review to ensure the city of Detroit does not reenter distress following its exit from bankruptcy and to ensure that the community district does not enter distress and maintains a balanced budget.

(3) Not later than March 15, the department of treasury shall submit a report to the standard report recipients that includes both of the following:

(a) A description of the specific outcomes and measures required in subsection (1).

(b) The results and data related to these outcomes and measures.

Sec. 949e. From the funds appropriated in part 1 for the state essential services assessment program, the department of treasury shall administer the state essential services assessment program. The purpose of the program is to provide a phased-in replacement of locally collected personal property taxes on eligible manufacturing personal property. The program must provide the department of treasury with the ability to collect the state essential services assessment.

Sec. 949f. Revenue from the tobacco products tax act, 1993 PA 327, MCL 205.421 to 205.436, related to counties with a population of more than 2,000,000 according to the 2000 federal decennial census is appropriated and must be distributed in accordance with section 12(2)(e) of the tobacco products tax act, 1993 PA 327, MCL 205.432.

Sec. 949h. Revenue from part 6 of the medical marihuana facilities licensing act, 2016 PA 281, MCL 333.27601 to 333.27605, is appropriated and must be distributed in accordance with part 6 of the medical marihuana facilities licensing act, 2016 PA 281, MCL 333.27601 to 333.27605.

Sec. 949i. Revenue from the Michigan Regulation and Taxation of Marihuana Act, 2018 IL 1, MCL 333.27951 to 333.27967, is appropriated and must be distributed in accordance with the Michigan Regulation and Taxation of Marihuana Act, 2018 IL 1, MCL 333.27951 to 333.27967.

Sec. 949j. All funds in the wrongful imprisonment compensation fund created in the wrongful imprisonment compensation act, 2016 PA 343, MCL 691.1751 to 691.1757, are appropriated and available for expenditure. Expenditures are limited to support wrongful imprisonment compensation payments under section 6 of the wrongful imprisonment compensation act, 2016 PA 343, MCL 691.1756.

Sec. 949k. There is appropriated an amount equal to the tax captured revenues due under approved transformational brownfield plans created under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670.

Sec. 949m. From the funds appropriated in part 1, the Michigan infrastructure council shall plan, conduct, and contract for asset management improvement activities, including, but not limited to, any of the following:

(a) Infrastructure data collection activities.

(b) Asset manager training.

(c) Development of a 30-year asset management plan for this state.

(d) Assistance in asset management improvement projects, including maintaining an asset management portal.

(e) Any other projects that promote improved asset management for infrastructure in this state.

Sec. 949n. In addition to the funds appropriated in part 1, the money in the fostering futures scholarship trust fund, including any money received as gifts or donations to the fostering futures scholarship trust fund, is appropriated and the department of treasury may issue payments in compliance with the fostering futures scholarship trust fund act, 2008 PA 525, MCL 722.1021 to 722.1031.

Sec. 949o. From the funds appropriated in part 1, the department shall report the taxable value and local tax effort for each city, village, township, and county used to calculate the revenue sharing payments made under sections 952 and 955 to the house and senate fiscal agencies, not later than 1 business day after payments are made under section 954(1) for sections 952 and 955.

Sec. 949p. In addition to the amounts appropriated in part 1, any amount collected from maintenance or user fees paid by the plan participants to the plan vendor or to the plan is authorized to be spent by the program. The Michigan achieving a better life experience program fees must be used to develop and conduct a marketing campaign to promote awareness to residents of this state. Eligible expenses include, but are not limited to, program administration, program awareness campaigns, planning and hosting events, or to reduce or offset plan participant fees.

Sec. 949q. From the funds appropriated in part 1, the department shall report the taxable value and local tax effort for each city, village, township, and county used to calculate the revenue sharing payments made under section 952 and section 955 to the house and senate fiscal agencies not later than 1 business day after payments are made under section 954(1) for sections 952 and 955.

Sec. 949r. From the funds appropriated in part 1, the department shall not use funds to initiate or pursue the garnishment of wages or take any other collections measures for individuals who received unemployment insurance agency overpayments during the years of 2020 to 2022.

Sec. 949s. (1) The Medicaid caseload reserve fund is created within the state treasury. The purpose of the fund is to support Medicaid caseload costs that occur at levels above appropriated amounts.

(2) Funds may be spent from the Medicaid caseload reserve fund only upon appropriation.

(3) Interest and earnings from the investment of funds deposited in the Medicaid caseload reserve fund shall remain in the fund.

(4) Funds in the Medicaid caseload reserve fund at the close of a fiscal year shall remain in the fund and shall not lapse to the general fund.

Sec. 949t. (1) The HR-1 costs fund is created within the state treasury. The purpose of the fund is to support costs that occur as a result of administering or implementing HR-1, Public Law 119-21.

(2) Funds may be spent from the HR-1 costs fund only upon appropriation.

(3) Interest and earnings from the investment of funds deposited in the HR-1 costs fund shall remain in the fund.

(4) Funds in the HR-1 costs fund at the close of a fiscal year

shall remain in the fund and shall not lapse to the general fund.

REVENUE SHARING

Sec. 950. The department of treasury shall distribute the funds appropriated in part 1 for constitutional revenue sharing to cities, villages, and townships, as required under section 10 of article IX of the state constitution of 1963. Revenue collected in accordance with section 10 of article IX of the state constitution of 1963 in excess of the amount appropriated in part 1 for constitutional revenue sharing is appropriated for distribution to cities, villages, and townships, on a population basis as required under section 10 of article IX of the state constitution of 1963.

Sec. 952. The funds appropriated in part 1 for city, village, and township revenue sharing and collected in the revenue sharing trust fund created in section 11a of the Michigan trust fund act, 2000 PA 489, MCL 12.261, is appropriated and must be distributed in accordance with section 11b of the Michigan trust fund act, 2000 PA 489, MCL 12.261.

Sec. 954. (1) Cities, villages, and townships receiving a payment under section 952 and counties receiving a payment under section 955 must receive distributions on the dates in accordance with section 11b of the Michigan trust fund act, 2000 PA 489, MCL 12.261.

(2) Payments distributed under section 952 or section 955 may be withheld in accordance with sections 17a and 21 of the Glenn Steil state revenue sharing act of 1971, 1971 PA 140, MCL 141.917a and 141.921.

(3) If a city, village, or township that receives a payment under section 952 is determined to have a retirement pension

benefit system in underfunded status under section 5 of the protecting local government retirement and benefits act, 2017 PA 202, MCL 38.2805, the city, village, or township must allocate to its pension unfunded liability an amount equal to 50% of the difference between its current year payment under section 952 and the amount the city, village or township would have been eligible to receive under section 952 of article 5 of 2024 PA 121, rounded to the nearest dollar. A city, village, or township that has issued a municipal security under section 518 of the revised municipal finance act, 2001 PA 34, MCL 141.2518, is exempt from this requirement.

(4) If a county that receives a payment under section 955 is determined to have a retirement pension benefit system in underfunded status under section 5 of the protecting local government retirement and benefits act, 2017 PA 202, MCL 38.2805, the county must allocate to its pension unfunded liability an amount equal to 50% of the difference between its current year payment under section 955 and the amount the county would have been eligible to receive under section 955 of article 5 of 2024 PA 121, rounded to the nearest dollar. A county that has issued a municipal security under section 518 of the revised municipal finance act, 2001 PA 34, MCL 141.2518, is exempt from this requirement.

Sec. 955. The funds appropriated in part 1 for county revenue sharing and collected in the revenue sharing trust fund created in section 11a of the Michigan trust fund act, 2000 PA 489, MCL 12.261, is appropriated and must be distributed in accordance with section 11b of the Michigan trust fund act, 2000 PA 489, MCL 12.261.

Sec. 956. (1) From the funds appropriated in part 1 for financially distressed cities, villages, or townships, the department of treasury shall create and operate a grant program to award grants to cities, villages, and townships that have 1 or more conditions that indicate probable financial distress, as determined by the department of treasury. A city, village, or township with 1 or more conditions that indicate probable financial distress may apply in a manner determined by the department of treasury for a grant to pay for specific projects or services that move the city, village, or township toward financial stability. Grants must be used for specific projects or services that move the city, village, or township toward financial stability. The city, village, or township must use the grants under this section to do 1 or more of the following:

(a) Make payments to reduce unfunded accrued liability.

(b) Repair or replace critical infrastructure and equipment owned or maintained by the city, village, or township.

(c) Reduce debt obligations.

(d) Pay for costs associated with a transition to shared services with another jurisdiction.

(e) Administer other projects that move the city, village, or township toward financial stability.

(2) The department of treasury shall award not more than $2,000,000.00 to any city, village, or township under this section.

(3) Not later than March 31, the department of treasury shall submit a report to the standard report recipients that includes all of the following for each grant recipient.

(a) The name of the grant recipient.

(b) The date the grant was approved.

(c) The amount of the grant.

(d) A description of the project or projects that will be paid by the grant.

(4) The unexpended funds appropriated in part 1 for financially distressed cities, villages, or townships are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditure for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to provide assistance to financially distressed cities, villages, and townships under this section.

(b) The projects will be accomplished by grants to cities, villages, and townships approved by the department of treasury.

(c) The total estimated cost of all projects is $2,500,000.00.

(d) The tentative completion date is September 30, 2030.

Sec. 957. A term that is defined in the Glenn Steil state revenue sharing act, 1971 PA 140, MCL 141.901 to 141.921, has the same meaning when used in sections 950 to 956.

Sec. 959. (1) The department of treasury shall distribute funds appropriated in part 1 for public safety revenue sharing grants as provided for in subsection (9) and as follows:

(a) $3,250,000.00 to the MDHHS to establish and administer a grant program to award funds to community violence intervention programs.

(b) $35,062,500.00 for a public safety assistance payment to each city, village, or township. The public safety assistance payment must be calculated as follows:

(*i*) Determine the average violent crime count for each city, village, and township by adding the 2 highest annual violent crime counts for each city, village, and township from the 3 most recently available annual crime reports published by the MDSP as of the first day of the current fiscal year and dividing by 2.

(*ii*) Determine the statewide total violent crime count by summing the average violent crime count for each city, village, and township as determined under subparagraph (*i*).

(*iii*) Determine the proportional factor for each city, village, and township by dividing the average violent crime count for each city, village, and township as determined under subparagraph (*i*) by the statewide total violent crime count determined under subparagraph (*ii*).

(*iv*) Multiply the proportional factor determined in subparagraph (*iii*), for each city, village, and township by the total amount available for distribution under this subdivision, and round to the nearest dollar.

(2) A public safety assistance payment to a city, village, or township as determined under subsection (1)(b) is limited to not more than 25% of the total amount available for distribution under subsection (1)(b).

(3) All of the following apply to a distribution under subsection (1)(b):

(a) A city, village, or township must use the distribution only for operational and capital expenditures that serve the purposes of public safety.

(b) Not less than 75% of a public safety assistance payment distributed under subsection (1)(b) to a city, village, or township must be used to fund, either directly or indirectly through a subgrant to another governmental entity, a law enforcement agency or law enforcement officers as defined in section 2 of the Michigan commission on law enforcement standards act, 1965 PA 203, MCL 28.602.

(c) Not more than 25% of a public safety assistance payment distributed under subsection (1)(b) to a city, village, or township must be used to fund other non-law-enforcement-related public safety purposes, which include, but are not limited to: public safety initiatives to improve recruitment or retention efforts; training programs; equipment purchases; programs designed to reduce identified risks to public safety; crime diversion programs; operational emergency medical or firefighter services; or capital improvements to public safety buildings or structures. All local public safety initiative expenses must be related to public safety and designed to reduce identified risks to public safety and cannot include unproven intervention solutions to community violence.

(d) A distribution made under subsection (1)(b) must not be used for the following nonoperating expenses:

(*i*) Pension and other post employee benefit (OPEB) payments.

(*ii*) Lawsuits and claims payments.

(*iii*) Debt service payments.

(*iv*) The acquisition or use of a vehicle weighing more than 15,000 pounds that is designed or used for a tactical police purpose.

(*v*) The acquisition or use of facial recognition technology.

(*vi*) The acquisition or use of a chemical weapon.

(4) A city, village, or township may subgrant all or part of the distribution under subsection (1)(b) if the subgrant is used for the purpose of public safety as described under subsection (3).

(5) Subject to subsections (6), (7), and (8), not later than November 30, the director of the MDSP shall provide the department of treasury with a certified list that contains all of the following:

(a) Base crime level.

(b) Current violent crime counts.

(c) Current violent crime rates, as determined by the director of the MDSP.

(6) The current violent crime data described in subsection (5)(b) and (c) mean the calendar year annual violent crime data for each city, village, and township received and finalized by the MDSP during the immediately preceding state fiscal year and the 2 immediately preceding calendar years before the immediately preceding state fiscal year.

(7) Crimes reported by a city, village, township, or reported by a county on behalf of the city, village, or township, must be included in the certified list under subsection (5), but crimes reported by other authorities must be omitted from the certified list under subsection (5).

(8) The certified list under subsection (5) must contain all cities, villages, and townships in this state and must report a zero for cities, villages, and townships that did not submit crime data.

(9) $11,687,500.00 must be used for public safety assistance payments to counties. The payment to each county must be calculated as determined under section 955. All of the following apply to a distribution made under this subsection:

(a) A county must use the distribution only for operational and capital expenditures that serve the purposes of public safety.

(b) Not less than 75% of a public safety assistance payment distributed to a county under this subsection must be used to fund, either directly or indirectly through a subgrant to another governmental entity, a law enforcement agency or law enforcement officers as defined in section 2 of the Michigan commission on law enforcement standards act, 1965 PA 203, MCL 28.602.

(c) Not more than 25% of a public safety assistance payment distributed to a county under this subsection must be used to fund other non-law-enforcement-related public safety purposes, which include, but are not limited to: public safety initiatives to improve recruitment or retention efforts; training programs; equipment purchases; programs designed to reduce identified risks to public safety; crime diversion programs; operational emergency medical or firefighter services; or capital improvements to public safety buildings or structures. All local public safety initiative expenses must be related to public safety and designed to reduce identified risks to public safety and cannot include unproven intervention solutions to community violence.

(d) A distribution made under this subsection must not be used for the following nonoperating expenses:

(*i*) Pension and other post employee benefit (OPEB) payments.

(*ii*) Lawsuits and claims payments.

(*iii*) Debt service payments.

(*iv*) The acquisition or use of a vehicle weighing more than 15,000 pounds that is designed or used for a tactical police purpose.

(*v*) The acquisition or use of facial recognition technology.

(*vi*) The acquisition or use of a chemical weapon.

(10) A county may subgrant all or part of the distribution

under subsection (9) if the subgrant is used for the purpose of public safety as described in subsection (9).

(11) As used in subsections (1) to (8):

(a) "Base crime level" means the average of a city, village, or township's 2 highest annual rates of violent crime, as certified by the director of the MDSP and determined by the annual crime reports published by the MDSP in the 3 calendar years immediately preceding the current calendar year.

(b) "Population" means the counts, as defined by the Federal Bureau of Investigation and used by the director of the MDSP, to determine the population for each city, village, and township.

(c) "Violent crime" means that term as defined by the director of the MDSP in accordance with the department's incident crime reporting program and the corresponding annual crime reports.

(d) "Violent crime count" means the number of violent crimes based on victim counts, as certified by the director of the MDSP. When a victim is connected to multiple offenses, the victim is counted under the highest-ranked offense, as defined by the director of the MDSP.

(e) "Violent crime rate" means the number of crimes per 100,000 people, determined by dividing a particular city, village, or township violent crime count by the population, then multiplying by 100,000 and rounding to the nearest whole number.

(12) As used in this section:

(a) "Chemical weapon" means a munition or device that is specifically designed to cause death or other harm through a toxic chemical that would be released as a result of the employment of the munition or device.

(b) "Facial recognition technology" means an automated or a semiautomated technological process that assists in identifying or verifying an individual based on the individual's face.

(13) It is the intent of the legislature that $50,000,000.00 be appropriated for the purposes outlined in this section in fiscal years 2026-2027 and 2027-2028.

BUREAU OF STATE LOTTERY

Sec. 960. In addition to the funds appropriated in part 1 to the bureau of state lottery, there is appropriated from state lottery fund revenues the amount necessary for, and directly related to, implementing and operating lottery games under the McCauley-Traxler-Law-Bowman-McNeely lottery act, 1972 PA 239, MCL 432.1 to 432.47, and activities under the Traxler-McCauley-Law-Bowman bingo act, 1972 PA 382, MCL 432.101 to 432.152, including expenditures for contractually mandated payments for vendor commissions, contractually mandated payments for instant tickets intended for resale, the contractual costs of providing and maintaining the online system communications network, and incentive and bonus payments to lottery retailers.

Sec. 964. For the bureau of state lottery, there is appropriated 1% of the lottery's immediately preceding fiscal year's gross sales for promotion and advertising.

MICHIGAN GAMING CONTROL BOARD

Sec. 970. As used in sections 971 to 979:

(a) "Compulsive gaming prevention fund" means the compulsive gaming prevention fund created in section 3 of the compulsive gaming prevention act, 1997 PA 70, MCL 432.253.

(b) "Fantasy contest fund" means the fantasy contest fund created in section 16 of the fantasy contests consumer protection act, 2019 PA 157, MCL 432.516.

(c) "First responder presumed coverage fund" means the first responder presumed coverage fund created in section 405 of the worker's disability compensation act of 1969, 1969 PA 317, MCL 418.405.

(d) "Internet gaming fund" means the internet gaming fund created in section 16 of the lawful internet gaming act, 2019 PA 152, MCL 432.316.

(e) "Internet sports betting fund" means the internet sports betting fund created in section 16 of the lawful sports betting act, 2019 PA 149, MCL 432.416.

Sec. 971. (1) From the revenue collected by the Michigan gaming control board from the total annual assessment of each casino licensee, funds are appropriated and must be distributed as described in section 12a(5) of the Michigan Gaming Control and Revenue Act, 1996 IL 1, MCL 432.212a.

(2) The revenue collected in the internet sports betting fund is appropriated and must be distributed in accordance with the lawful sports betting act, 2019 PA 149, MCL 432.401 to 432.419.

(3) The revenue collected in the internet gaming fund is appropriated and must be distributed in accordance with the lawful internet gaming act, 2019 PA 152, MCL 432.301 to 432.322, and the Traxler-McCauley-Law-Bowman bingo act, 1972 PA 382, MCL 432.101 to 432.152.

Sec. 972. After all other required expenditures described in section 16(3) of the fantasy contests consumer protection act, 2019 PA 157, MCL 432.516, section 16(4) of the lawful internet gaming act, 2019 PA 152, MCL 432.316, and section 16(4) of the lawful sports betting act, 2019 PA 149, MCL 432.416 are made, any money remaining in the fantasy contest fund, internet gaming fund, and internet sports betting fund is appropriated and must be deposited in the state school aid fund as described in section 16(3)(b) of the fantasy contests consumer protection act, 2019 PA 157, MCL 432.516, section 16(4) of the lawful internet gaming act, 2019 PA 152, MCL 432.316, and section 16(4) of the lawful sports betting act, 2019 PA 149, MCL 432.416.

Sec. 973. (1) Funds appropriated in part 1 for local government programs may be used to provide assistance to a local revenue sharing board referenced in an agreement authorized by the Indian gaming regulatory act, Public Law 100-497.

(2) A local revenue sharing board described in subsection (1) shall comply with the open meetings act, 1976 PA 267, MCL 15.261 to 15.275, and the freedom of information act, 1976 PA 442, MCL 15.231 to 15.246.

(3) A county treasurer may receive and administer funds on behalf of a local revenue sharing board. Funds appropriated in part 1 for local government programs may be used to audit local revenue sharing board funds held by a county treasurer. This section does not limit the ability of local units of government to enter into agreements with federally recognized Indian tribes to provide financial assistance to local units of government or to jointly provide public services.

(4) A local revenue sharing board described in subsection (1) shall comply with all applicable provisions of any agreement authorized by the Indian gaming regulatory act, Public Law 100-497, in which the local revenue sharing board is referenced, including, but not limited to, the disbursal of tribal casino payments

received in accordance with applicable provisions of the tribal-state class III gaming compact under which those funds are received.

(5) The director of the MDSP and the executive director of the Michigan gaming control board may assist the local revenue sharing boards in determining allocations to be made to local public safety organizations.

(6) Not later than September 30, the Michigan gaming control board shall submit a report to the standard report recipients and the senate and house of representatives standing committees on appropriations on the receipts and distribution of revenues by local revenue sharing boards.

Sec. 974. If revenues collected in the state services fee fund created in section 12a of the Michigan Gaming Control and Revenue Act, 1996 IL 1, MCL 432.212a, are less than the amounts appropriated from the state services fee fund, available revenues must be used to fully fund the appropriation in part 1 for casino gaming regulation activities before distributions are made to other state departments and agencies. If the remaining revenue in the state services fee fund is insufficient to fully fund appropriations to other state departments or agencies, the shortfall must be distributed proportionally among those departments and agencies.

Sec. 975. In expending the funds appropriated in part 1 for advertising for responsible gaming, the Michigan gaming control board shall engage with MDHHS on strategies to support addiction prevention and education efforts in addition to advertising for responsible gaming. Not later than September 1, the Michigan gaming control board shall submit a report to the standard report recipients on the expenditures and programming funded from the appropriations in part 1 for advertising for responsible gaming.

Sec. 976. The executive director of the Michigan gaming control board may pay rewards of not more than $5,000.00 to a person who provides information that results in the arrest and conviction on a felony or misdemeanor charge for a crime that involves the horse racing industry. A reward paid under this section must be paid out of the appropriation in part 1 for the racing commission.

Sec. 977. All appropriations from the equine industry development fund created in section 20 of the horse racing law of 1995, 1995 PA 279, MCL 431.320, except for the racing commission appropriations, must be reduced proportionately if revenues to the equine industry development fund decline during the current fiscal year to a level lower than the amount appropriated in part 1.

Sec. 978. The Michigan gaming control board shall use actual expenditure data in determining the actual regulatory costs of conducting racing dates and shall submit a report of that data to the standard report recipients and the senate and house appropriations subcommittees on agriculture. The Michigan gaming control board may not be reimbursed for more than the actual regulatory cost of conducting race dates. In determining actual costs, the Michigan gaming control board shall take into account that each specific breed of horse may require different regulatory mechanisms.

Sec. 979. From the funds appropriated in part 1 for millionaire party regulation, the Michigan gaming control board may receive and expend internet gaming fund revenue in an amount that is not more than the amount appropriated in part 1 for necessary expenses incurred in the licensing and regulation of millionaire parties under article 2 of the Traxler-McCauley-Law-Bowman bingo act, 1972 PA 382, MCL 432.132 to 432.152. Any unused internet gaming fund revenues are subject to the distribution requirements in section 16 of the lawful internet gaming act, 2019 PA 152, MCL 432.316. Not later than March 1, the Michigan gaming control board shall submit a report to the standard report recipients that includes all of the following:

(a) The total expenditures related to the licensing and regulating of millionaire parties.

(b) The steps taken to ensure charities are receiving revenue due to them.

(c) A description of the progress on promulgating rules to ensure compliance with the Traxler-McCauley-Law-Bowman bingo act, 1972 PA 382, MCL 432.101 to 432.152.

(d) Any enforcement actions taken.

ONE-TIME APPROPRIATIONS

Sec. 991. (1) From the funds appropriated in part 1 for election equipment reserve fund, the MDTMB shall provide assistance that may include centralized procurement and information technology support in the state's implementation of a uniform voting system and replacement of voting systems in local jurisdictions in accordance with the Michigan election law, 1954 PA 116, MCL 168.1 to 168.992.

(2) All principal, interest, and earnings deposited into the election administration support fund created under section 21-940 of article 21, and funds received under the help America vote act of 2002, 42 USC 15301 to 15545, including any interest and

earnings, in accordance with 52 USC 20901 to 21145, are appropriated for purposes described in this section. The MDTMB shall collaborate with other state departments, as appropriate, on the implementation of a uniform voting system. The state budget director may make the budgetary or accounting transactions necessary to authorize the utilization of these funds in the MDTMB or any collaborating department.

(3) The unexpended funds appropriated in part 1 for election equipment reserve fund and this section are designated as a work project appropriation and any unencumbered or unallotted funds do not lapse at the end of the fiscal year and are available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to support the purchase of election equipment for local units of government.

(b) The project will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated cost of the project is $43,164,000.00.

(d) The tentative completion date is September 30, 2031.

Sec. 992. (1) From the funds appropriated in part 1 for local prosecutor support grants, the department of treasury shall issue grants to county prosecutors that received a grant under section 991 of article 5 of 2023 PA 119, section 805 of article 16 of 2025 PA 22, or section 991(1) of article 5 of 2025 PA 22. The grant amount must be the greatest amount received under section 991 of article 5 of 2023 PA 119, section 805 of article 16 of 2025 PA 22, or section 991(1) of article 5 of 2025 PA 22.

(2) County prosecutors must show that the total amount

appropriated to the county prosecutor in the current fiscal year is equal to or greater than the amount received in the previous fiscal year.

(3) The department of treasury shall issue grants to county prosecutors not later than 5 business days after receiving documentation that the total amount appropriated to the county prosecutors is equal to or greater than the amount received in the previous fiscal year.

Sec. 993. (1) For the funds appropriated in part 1 for local prosecutor support adjustment grants, the department of treasury shall issue adjustment grants to county prosecutors that qualify under subsection (2) in the amount calculated under subsection (3) not later than 1 business day after the effective date of this act.

(2) County prosecutors are eligible to receive an adjustment grant under this section if both of the following conditions are met:

(a) The county prosecutors received a grant under section 991 of article 5 of 2023 PA 119 or section 805 of article 16 of 2025 PA 22.

(b) One of the following conditions is met:

(*i*) The county prosecutors did not receive an amount under section 805 of article 16 of 2025 PA 22 or section 991(1) of article 5 of 2025 PA 22.

(*ii*) The amount that the county prosecutors received under section 991 of article 5 of 2023 PA 119 or section 805 of article 16 of 2025 PA 22 was less than the amount that the county prosecutors received under section 805 of article 16 of 2025 PA 22 or section 991(1) of article 5 of 2025 PA 22.

(3) The amount of adjustment grants to each county that is

qualified under subsection (2) must be calculated in the following manner:

(a) For county prosecutors that received an amount under section 991 of article 5 of 2023 PA 119 that was greater than the amount received in section 805 of article 16 of 2025 PA 22 and section 991(1) of article 5 of 2025 PA 22, the amount must be the sum of the amount received in section 991 of article 5 of 2023 PA 119 minus the amount received under section 805 of article 16 of 2025 PA 22, plus the amount received in section 991 of article 5 of 2023 PA 119 minus the amount received under section 991(1) of article 5 of 2025 PA 22.

(b) For county prosecutors that received an amount under section 805 of article 16 of 2025 PA 22 that was greater than the amount received under section 991(1) of article 5 of 2025 PA 22, the amount calculated must be the amount received in section 805 of article 16 of 2025 PA 22 minus the amount received under section 991(1) of article 5 of 2025 PA 22.

Sec. 994. (1) From the funds appropriated in part 1 for municipal infrastructure grants, the department of treasury shall create and operate a grant program to award competitive grants to cities, villages, townships, and counties to upgrade municipal facilities that are at least 50 years old.

(2) The department of treasury shall prioritize cities, villages, townships, or counties that have 1 or more conditions that indicate probable financial distress as determined by the department of treasury under section 956.

(3) The department of treasury shall award not more than $1,000,000.00 to any city, village, township, or county and shall require that the grant recipient commit at least 25% of the amount

received to the project.

(4) Not later than March 31, the department of treasury shall submit a report to the standard report recipients that includes all of the following for each grant recipient:

(a) The name of the grant recipient.

(b) The date the grant was approved.

(c) The amount of the grant.

(d) A description of the project or projects that will be paid by the grant.

Sec. 995. (1) For a public safety academy assistance grant program, the funds appropriated under this subsection must be used by the Michigan commission on law enforcement standards to do all of the following:

(a) Administer a competitive public safety academy assistance scholarship program that provides police academy scholarships of not more than $20,000.00 per recruit on a first-come, first-served basis to an individual who meets the requirements of subsection (2) and any necessary requirements to enroll in a police academy program.

(b) Pay the salaries of training academy recruits from local public safety agencies or to pay the salaries of police cadets who are receiving tuition assistance under subsection (2) and academy tuition and eligible related costs as determined by the Michigan commission on law enforcement standards.

(2) In order to receive a scholarship under subsection (1)(a), an individual must have applied to at least 1 law enforcement basic training academy approved by the Michigan commission on law enforcement standards, have completed an interview, and have received approval for the scholarship from the public safety agency

that the individual intends to serve.

(3) For the purposes of subsection (1)(a), not more than 25 scholarships may be approved for a particular public safety agency.

(4) The Michigan commission on law enforcement standards may use not more than $140,000.00 for administration of the scholarship program established and administered by the Michigan commission on law enforcement standards under subsection (1).

(5) The Michigan commission on law enforcement standards may set any necessary additional requirements for the distribution of the funds disbursed under subsection (1).

STATE BUILDING AUTHORITY

Sec. 1100. (1) Subject to section 242 of the management and budget act, 1984 PA 431, MCL 18.1242, and on the approval of the state building authority, the department of treasury may expend from the general fund of this state during the fiscal year an amount necessary to meet the cash flow requirements of those state building authority projects solely for lease to a state agency identified in both part 1 and this section, and for which state building authority bonds or notes have not been issued, and for the sole acquisition by the state building authority of equipment and furnishings for lease to a state agency as permitted by 1964 PA 183, MCL 830.411 to 830.425, for which the issuance of bonds or notes is authorized by an appropriations PA that is effective for the immediately preceding fiscal year. Any general fund advances for which state building authority bonds have not been issued must bear an interest cost to the state building authority at a rate that is not greater than the rate earned by the state treasurer's common cash fund during the period in which the advances are outstanding and are repaid to the general fund of this state.

(2) On sale of bonds or notes for the projects identified in part 1 or for equipment as authorized by an appropriations PA and in this section, the state building authority shall credit the general fund of this state an amount equal to the amount expended from the general fund plus interest, if any, as described in this section.

(3) For state building authority projects for which bonds or notes have been issued and on the request of the state building authority, the state treasurer shall make advances without interest from the general fund as necessary to meet cash flow requirements for the projects. The state building authority shall reimburse the state treasurer for the advances when the investments earmarked for the financing of the projects mature.

(4) If a project identified in part 1 is terminated after final design is complete, advances made on behalf of the state building authority for the costs of final design must be repaid to the general fund in a manner recommended by the director of the state building authority.

Sec. 1102. (1) The state building authority shall not release state building authority funding to a university or community college to finance the construction or renovation of a facility that collects revenue in excess of money required for the operation of that facility unless the university or community college agrees to use that excess revenue to reimburse the state building authority. The excess revenue received by the state building authority as reimbursement must be credited to the general fund to offset rent obligations associated with the retirement of bonds issued for the applicable facility. The auditor general shall annually identify and audit the facilities that are subject to this section. Costs associated with the administration of the audit must be charged against money received by the state building authority as reimbursement under this section.

(2) As used in this section, "revenue" includes state appropriations, facility opening money, other state aid, indirect cost reimbursement, and other revenue generated by the activities of the facility.

Sec. 1103. Not later than October 15, the state building authority shall submit a report to the standard report recipients and the JCOS regarding the status of construction projects associated with state building authority bonds as of the end of the immediately preceding fiscal year. Not later than 30 days after a refinancing or restructuring bond issue is sold, the state building authority shall submit a report to the standard report recipients and the JCOS regarding the status of construction projects associated with that bond issue. Each report must include all of the following:

(a) A list of all completed construction projects for which state building authority bonds have been sold, and which bonds are currently active.

(b) A list of all projects under construction for which sale of state building authority bonds is pending.

(c) A list of all projects authorized for construction or identified in an appropriations act for which approval of schematic/preliminary plans or total authorized cost is pending that have state building authority bonds identified as a source of financing.

REVENUE STATEMENT

Sec. 1201. In accordance with section 18 of article V of the state constitution of 1963, fund balances and estimates are presented in the following statement:

BUDGET RECOMMENDATIONS BY OPERATING FUNDS

(Amounts in millions)

Fiscal Year 2026-2027

	Beginning Balance	Estimated Revenue	Ending Balance
OPERATING FUNDS			
General fund/general purpose	319.7	13,310.0	19.9
School aid fund	753.3	21,974.0	2.0
Federal aid	0.0	31,047.2	0.0
Transportation funds	0.0	10,904.4	0.0
Special revenue funds	3,738.5	9,442.3	3,287.0
Other funds	1,817.2	54.2	1,871.4
TOTALS	$6,628.7	$86,732.1	$5,180.3

PART 2A

PROVISIONS CONCERNING APPROPRIATIONS

FOR FISCAL YEAR 2025-2026

GENERAL SECTIONS

Sec. 2201. Pursuant to section 30 of article IX of the state constitution of 1963, total state spending from state sources under part 1A for fiscal year 2025-2026 is $4,000,000.00 and state spending from state sources to be paid to local units of government for fiscal year 2025-2026 is $0.00.

Sec. 2202. The appropriations made and expenditures authorized under this part and the departments, commissions, boards, offices, and programs for which appropriations are made under this part and part 1A are subject to the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594.

Sec. 2203. If the state administrative board, acting under section 3 of 1921 PA 2, MCL 17.3, transfers funds from an amount appropriated under this act, the legislature may, by a concurrent resolution adopted by a majority of the members elected to and serving in each house, intertransfer funds within this act for the particular department, board, commission, office, or institution.

EXECUTIVE OFFICE

Sec. 2301. From the funds appropriated in part 1A for executive office, not less than $2,000,000.00 must be used to support the implementation of Senate Bill No. 1 and Senate Bill No. 2 of the 103rd Legislature.

LEGISLATURE

Sec. 2401. From the funds appropriated in part 1A for senate, not less than $1,000,000.00 must be used to support the implementation of Senate Bill No. 1 and Senate Bill No. 2 of the 103rd Legislature.

Sec. 2402. From the funds appropriated in part 1A for house of representatives, not less than $1,000,000.00 must be used to support the implementation of Senate Bill No. 1 and Senate Bill No. 2 of the 103rd Legislature.